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The Coca-Cola Company

An Illustrated Profile

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An Illustrated Profile of a Worldwide Company

The Coca-Cola Company

COCA-COLA CO

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by
The Coca-Cola Company
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"Coca-Cola" and "Coke" are registered trade-marks which identify the same product of The Coca-Cola Company.

RWB

Foreword

The Coca-Cola Company has never published its own Corporate history. Many books, articles, monographs and even novels have been written by others revolving around Coca-Cola and the organization which has grown up to guide its destiny. While this book is, technically, the *first* "official" history ever published in narrative and pictorial form by the Company, it is by no means a final or complete account. In fact, it might be most accurately described as "an illustrated *profile* of The Coca-Cola Company." The complete history has, of course, not yet been written. Perhaps it never will be. That is just as well since who among us can be objective about ourselves? In this respect, at least, companies are no different from individuals, since they are made up of people who have many of the contradictions and uncertainties that are characteristic of individuals.

This then is an "interim history" . . . a brief and, we hope, entertaining account of an interesting company and its even more interesting product. It tells the story of where it came from, some of the people who contributed to its success, the dramatic story of its acceptance and popularity throughout the world and where it is today. There are sins of omission and commission. To those who would have done it another way, we can only say, "So may we, the next time around."

J. Paul Austin
Chairman of the Board
The Coca-Cola Company

Dedication

For all the tremendous drive, enthusiasm and vision, which the 33-year-old Robert Winship Woodruff brought with him to The Coca-Cola Company when he became its President in 1923, it is doubtful that even he could have envisaged the phenomenal worldwide success that the product Coca-Cola would have achieved half a century later.

Yet, during those years, as his titles changed but his leadership did not, Coca-Cola was to become the best-known, most widely distributed and one of the most highly regarded products in the annals of international commerce.

So it is appropriate that this historical account of the worldwide business, to which he contributed so much, should be dedicated with respect and affection to Robert W. Woodruff, businessman extraordinary and humanitarian.

Daniel Webster once wrote:

"Let us develop the resources of our land, build up its interests and see whether we also, in our day and generation, may perform something worthy to be remembered."

He was speaking of Robert Woodruff's native country; in fact Mr. Woodruff has also helped to epitomize that aspiration in many lands.

Few men can have done more for their country, their company or for their fellow human beings.

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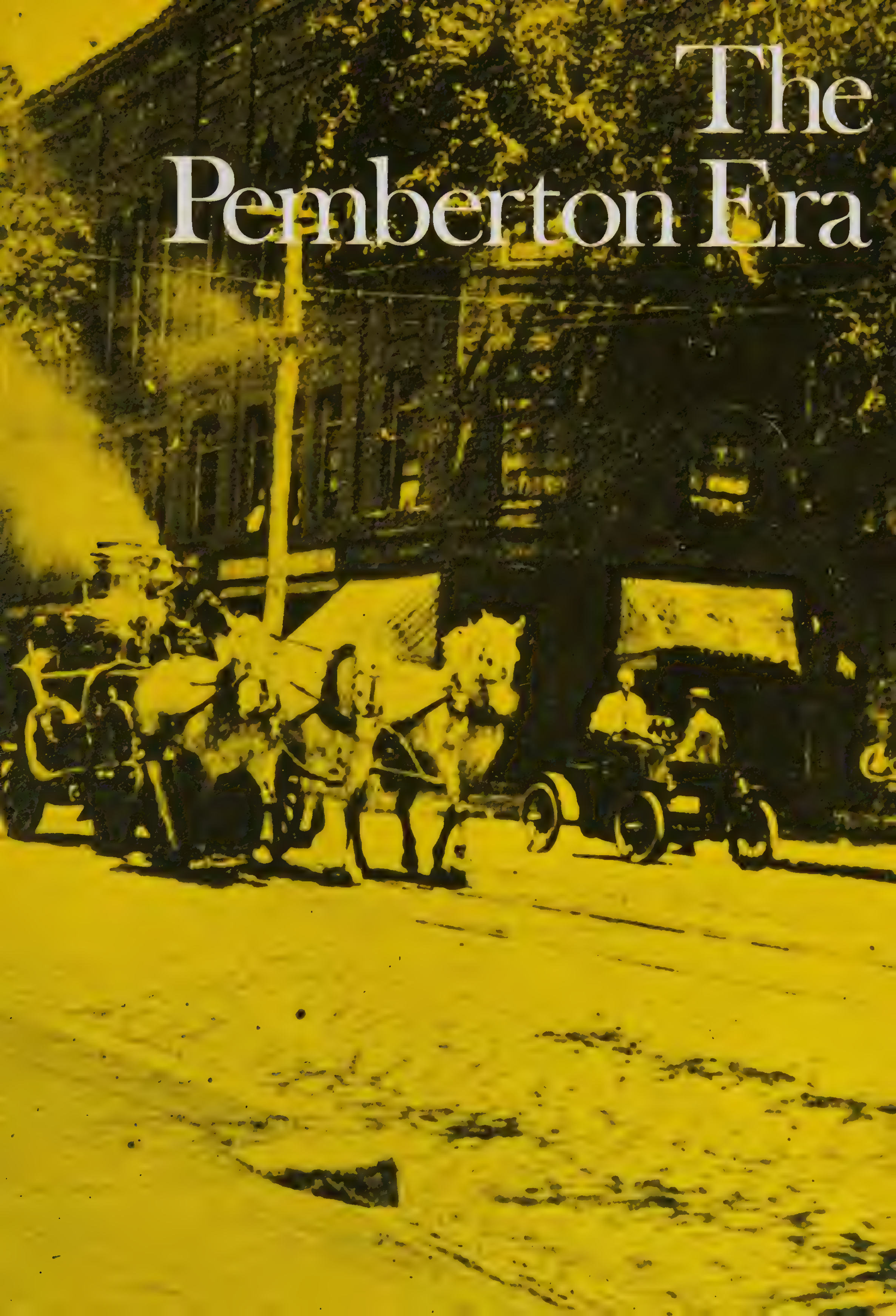

The
Pemberton Era

Part One

Dr. Pemberton's New Syrup

Had anyone intimated to pharmacist John S. Pemberton, of Atlanta, during the late 1880's that his creation, Coca-Cola, might some day be sold around the world at a rate of more than 165 million drinks per day, he would doubtless have been branded a rank visionary. While Pemberton had faith in the solid worth of Coca-Cola, his hopes for it were less Olympian.

It is hard to determine, nearly 90 years after the fact, just what it was that pharmacist Pemberton was trying to create. Evidence is conflicting as to whether his goal was strictly a soft drink to be dispensed at soda fountains, a palatable tonic for headaches or a combination of the two. For nearly seven decades, however, Coca-Cola has been advertised as a cure for one condition only, thirst.

Since moving to Atlanta from Columbus, Georgia, Pemberton had been a member of various pharmacy supply firms, wherein his forte lay in experimentation rather than business. In December, 1885, he incorporated the Pemberton Chemical Company. Headquarters of the new firm were located in the antebellum two-story Holland home on Marietta Street, within three blocks of Atlanta's famous "Five Points."

Here Pemberton originated Coca-Cola. Tradition tells us that his utensils for his constant blending and stirring comprised a brass or iron kettle and a boat oar. A nice pioneer touch.

Finally, during the month of May 1886, Pemberton declared his as yet unnamed product ready for market. At this critical juncture, Frank Robinson, his bookkeeper and an expert penman, came to the fore. Obviously, the result of such painstaking labor must have not only a name, but also a distinctive name. Robinson sensed the appropriateness of choosing an alliterative, easily remembered one. With the flourish of an old-time penman, Robinson polished up his effort by designing in flowing script the famous trademark which, ever since, has distinguished the principal product of The Coca-Cola Company and its predecessors.

Then to market went Pemberton. And market meant the soda fountain, which had been given a boost in popularity at the Centennial Exposition at Philadelphia ten years before. By 1886, four were doing business in Atlanta. Pemberton took the first jug of Coca-Cola syrup to the most centrally located of the four—the fountain operated by Willis E. Venable in the two-year old pharmacy of Dr. Joseph Jacobs at the then Norcross corner, now First National Bank corner, at Peachtree and Marietta Streets. Thus, Venable carved a modest niche for himself by becoming the first person in history to sell a drink of Coca-Cola. Only days later, the firm of Nunnally & Rawson, confectioners, at 36 Whitehall Street, was handling Coca-Cola.

Coca-Cola was orginally served over Atlanta soda fountains with plain water. Then one day, probably in early 1887, Willis Venable mistakenly added carbonated instead of plain water on a call for Coca-Cola and the customer was delighted. The word got around and soon carbonation became standard. The innovation was shortly reflected in increased sales.

First and third home of Coca-Cola was at 107 Marietta St., Atlanta, Georgia

John S. Pemberton was the creator of Coca-Cola.

This 1895 ceramic syrup urn was forerunner of modern fountain dispenser.

Jacobs' Pharmacy at Five Points became the second home in 1887.

Six Drinks a Day

Whatever limitations John S. Pemberton may have had as a businessman, he did have an appreciation of advertising and used it to the extent that his meager finances would allow.

Thus it was that three avenues of advertising for Coca-Cola, opened by Pemberton, have continued in use through the years. They were the point-of-sale sign, newspapers, and the complimentary "sampling" ticket.

The first point-of-sale sign, made of oilcloth, was fastened to the awning of Jacobs Pharmacy in 1886. Lettered in red on a white background, it bore the simple invitation to DRINK COCA-COLA 5¢. By placing the sign on the outlet Pemberton unknowingly set a precedent for the placement of millions of future signs advertising Coca-Cola.

The first newspaper advertisement, which appeared in *The Atlanta Journal* for May 29, 1886, not only gave promise of refreshment, but told where to get it. The trademark appeared in block letters:

COCA-COLA
DELICIOUS
REFRESHING
EXHILARATING
INVIGORATING

The New and Popular Soda Fountain Drink . . . For sale by Willis Venable and Nunnally & Rawson.

Through all the years of its history, newspapers have been widely used to create and sustain demand for Coca-Cola.

One of Pemberton's most persistent problems in the marketing of Coca-Cola was getting people to try the then little-known beverage. He felt that if they could be induced to sample the product, they would like it and become regular customers.

To this end, he resorted to the free ticket, good for one drink and redeemable by soda fountains. The city directory was used from which to compile a mailing list. This strategy was successful and long after Pemberton's day the ticket, good for a free sample, was used, not only to stimulate sales, but to introduce new packages and support familiar ones.

During the first year only 25 gallons of the syrup, or enough for 3,200 drinks were sold. The syrup sold for approximately $1 a gallon. That first year Pemberton spent on advertising more than the total earnings from the sales of his new product. He earned approximately $50 from sales, but, according to the record, he invested exactly $73.96 in advertising. This unfortunate ratio of earnings and advertising costs was soon reversed; and The Coca-Cola Company throughout the years has invested heavily and successfully in advertising with resulting profits.

If it were not for Dr. Pemberton...

The originator of Coca-Cola, John S. Pemberton, was born at Knoxville, Crawford County, in middle Georgia on July 8, 1831. Early in life he moved to Columbus, Georgia, where he attended school. After obtaining a degree in pharmacy in Macon, he returned to Columbus.

When the Civil War came on, Pemberton, then in his early 30's, signed up with the army. During 1862 and 1863, he served as Captain and later as Colonel of Company K, Robinson's Georgia Cavalry, State Guards, Muscogee County.

The war over, Pemberton, like so many other Southerners, found himself impoverished and facing an uncertain future. Again, however, he entered the business in Columbus and continued his efforts to evolve new products, mostly in the proprietary medicine field.

In 1869 Dr. Pemberton moved with his family to the bustling City of Atlanta. With a population of 21,000, the city had, just the year before, been made the capital of the state and was rapidly recovering from the devastation of war.

Pemberton's first business connection in Atlanta was as senior partner of Pemberton, Wilson, Taylor and Company, wholesale pharmacist and manufacturing chemists. Between the time of his arrival in Atlanta and his introduction of Coca-Cola in 1886, Pemberton was a member of various partnerships.

The origination of Coca-Cola syrup and the early advertising and marketing efforts in its behalf have been noted. The history of American business has proven time and again that the introduction to the market of a low cost, consumer product, dependent upon volume sales for success, requires vigorous promotion and a generous supply of capital. Unfortunately for Pemberton, his failing health precluded vigorous effort and his financial resources were meager.

Coca-Cola was two years and three months old when its originator died on August 16, 1888. That he was held in high esteen by his professional associates in Atlanta is indicated by the fact that, upon the occasion of his death the pharmacists of the city met and drew up resolutions of respect to his memory. Their places of business were closed during the

The fourth home of Coca-Cola was located at 47 Peachtree St., from 1888 until late 1891.

Sampling coupons of the 1890's encouraged people to try the new beverage.

services and they attended the funeral in a body. Dr. Pemberton's remains were interred in Linwood Cemetery in Columbus, Georgia, on his wife's family lot. For more than 70 years, the grave was unmarked. It now bears a substantial marker, suitably inscribed, identifying him as

"ORIGINATOR OF COCA-COLA"

The marker was provided by public spirited citizens of Columbus.

Pemberton never lived to comprehend what he had wrought; but he gave Coca-Cola the spark of life and left it to be nourished into flame by those who came afterward.

The Product Survives

Though the creator of Coca-Cola passed from the stage during its infancy, the product, fortunately, did not. Others, younger and with more capital, waited in the wings. Chief among these was Asa Griggs Candler, though he was not to acquire Coca-Cola by one simple and clean-cut purchase. Indeed, the process took three years.

During the summer of 1887, Pemberton, his health failing rapidly, realized that he could not push his product to the extent it required. He sought assistance and approached his friend, George S. Lowndes, then a moderately successful Atlanta businessman, and proposed that Lowndes buy a two-thirds interest in Coca-Cola for $1200. Pemberton desired to retain a one-third interest for his son, Charles. Lowndes demurred, due to pressure of other business interests, but agreed to consider the matter when Pemberton suggested that he find a partner to actually handle Coca-Cola. Soon thereafter, Lowndes thought of Willis Venable. Venable was interested and agreed to associate himself with Lowndes as a purchaser.

Consequently, on July 8, 1887, the sale was made. Lowndes and Venable owned a two-thirds interest in Coca-Cola, together with the right to manufacture and sell it. The material and equipment necessary to the manufacture of the drink was moved from its original home at 107 Marietta Street to the basement of Jacobs Pharmacy, where Venable was to begin manufacturing operations.

Here the matter rested for some weeks. Venable was too busy with the fountain upstairs to bother with Coca-Cola in the basement. Lowndes became apprehensive about his investment. He bought out his partner. Being too busy to make and promote Coca-Cola, he sought a purchaser. Woolfolk Walker, a former salesman for the Pemberton Chemical Company, came to mind. He had sold Coca-Cola and knew the product. He agreed to a purchase from Lowndes, but had no money. However, his sister, Mrs. M. C. Dozier, had a little cash. With Pemberton's permission, Lowndes transferred his two-thirds interest in Coca-Cola to Walker and Mrs. Dozier on December 14, 1887, for $1200. The meager manufacturing equipment was hauled back to 107 Marietta Street.

Up to this time, Atlanta pharmacist Asa G. Candler had no interest in Coca-Cola except that of a consumer. Indeed, he had developed quite a fondness for the beverage. He was about to become more solidly involved. Woolfolk Walker, soon after his purchase, set out to organize a corporation to take over Coca-Cola. The result of this effort was Walker, Candler & Company, composed of Woolfolk Walker, Asa G. Candler and Dr. Joseph Jacobs, the pharmacist. Walker, together with Mrs. Dozier, still owned a two-thirds interest in Coca-Cola; so the corporation determined to buy Dr. Pemberton's remaining one-third. By contract dated April 14, 1888, this was done, the consideration being $550.

On April 17, 1888, three days after originator Pemberton sold out, Candler, for $750, individually, bought half of the interest then owned by Mrs. Dozier and Woolfolk Walker. By this purchase, Candler acquired personally a one-third interest in Coca-Cola in addition to the one-ninth interest he had acquired by purchase made when Walker, Candler & Company bought out Dr. Pemberton.

Again, the ubiquitous manufacturing equipment was moved. Candler sent his clerk and nephew, Samuel C. Dobbs, with a one-horse wagon to fetch it from 107 Marietta Street to the store of Asa G. Candler & Company, 47 Peachtree Street.

A couple of weeks after the death of Pemberton, Candler again increased his interest in Coca-Cola. On August 30, 1888, he purchased for $1,000 the remaining one-third interest of Mrs. Dozier and Woolfolk Walker. Candler now had all the interest in Coca-Cola except that which was owned by the company in which he was a partner, that is, Walker, Candler & Company. So, on April 22, 1891, he took over all the interests which that company had acquired when it bought out Pemberton's third interest.

Thus, over a three-year period, and for a total cash outlay of $2,300, plus some exchange of proprietary products with Dr. Jacobs, Asa G. Candler found himself the sole owner of Coca-Cola, a situation soon destined to redound to the benefit of both.

Two floors of this building on Decatur Street became the fifth home of Coca-Cola in 1891.

Early advertising included this 1894 mailing piece.

The Candler Era

Part Two

Asa Griggs Candler, Sole Proprietor

The "Sole Proprietor" came of good stock. He was born at Villa Rica, in Carroll County, Georgia, some 40 miles west of Atlanta. Two other future presidents of the soon to be organized Coca-Cola Company were also born in Carroll County, Samuel C. Dobbs and Arthur A. Acklin. Asa G. Candler, born at mid-century, in 1851, was one of eleven children of Samuel C. and Martha Beall Candler.

Reared on a farm, Candler's childhood alternated between farm labor and elementary schooling. During the summer and fall of 1864 he was kept fairly busy hiding livestock and provisions from Union Army foragers. Following some regular schooling after the Civil War, Candler, in 1870, apprenticed himself to a pharmacist until January, 1873. He was the boy of all work during the day and studied medical books at night. He slept on a cot in the back room of the pharmacy in which he was employed in Cartersville, Georgia.

His apprenticeship completed, he came to Atlanta in early 1873 with $1.50 in his pocket and sought work. At nine o'clock that first night after his arrival. he found work but no salary in the pharmacy of George J. Howard. Young Candler, small in stature and build, but strong, wiry and alert, soon proved worthy of a salary. Worthy, too, of his employer's daughter, for in early 1878. he married Lucy E. Howard, who became the mother of their five children.

Candler remained with his future father-in-law until 1877, when he formed a partnership, with M. B. Hallman, as Hallman and Candler. Five years later, in 1882, he bought out his partner and conducted the business as Asa G. Candler & Company. Thus, he was operating, at 47 Peachtree Street, one door south of Auburn Avenue, then called Wheat

Street, when he became interested in Coca-Cola.

After Candler had secured a substantial interest in Coca-Cola in 1888, and manufacturing operations had been moved to his own establishment, he employed Dr. Pemberton's former associate, Frank M. Robinson, as bookkeeper. Indeed, Robinson, who had named the product and created its trademark in flowing script, had been urgent in his appeals to Mr. Candler to buy the right, title, and interest to the formula for Coca-Cola.

Candler's pharmaceutical knowledge convinced him that the product needed a touch here and there to insure its uniformity and stability. So, he and Robinson went to work. The result, based upon Pemberton's original formulation, was the unique formula by which Coca-Cola has been made throughout the many years of its extraordinary progress. Asa G. Candler was proud to identify himself as "Sole Proprietor."

This illustration was used on the Company's 1898 calendar.

Asa Griggs Candler was 22 when he moved to Atlanta.

The sixth home of Coca-Cola, at 77 Ivy Street, was occupied in 1893.

The change tray, with model Hilda Clark, made in 1899, became a popular promotional item.

The Georgia Corporation

The progress of Atlanta's most famous native-born product was rapid under the guiding hand of Asa G. Candler. He put feet under it. Indeed, he was a careful, aggressive businessman as well as pharmacist—just what was needed for Coca-Cola at this time.

By 1890, annual gallonage sales reached nearly 9000. Distribution was by no means strictly local. Distant shipments by rail were not uncommon. And the soda fountain, a peculiarly American institution, was the ever-growing link between the maker and consumer of Coke.

During the same year, 1890, Candler decided that Coca-Cola required his entire attention. So he closed out his stock, valued at $50,000, to concentrate on Coke. It was a wise decision. In 1891, after securing the last small outstanding interest in the product, Candler determined to incorporate.

On January 29, 1892, Judge Marshall J. Clarke, of Fulton County Superior Court, granted a charter to The Coca-Cola Company, a Georgia corporation. Capital stock was set at $100,000, divided into shares of the par value of $100 each. Only slightly more than 500 shares in the Georgia corporation were ever issued. Mr. Candler himself retained a predominant number, though relatively small holdings went to associates such as Robinson and Dobbs. A few shares were issued to favored retailers, J. H. Nunnally, for instance, as an inducement to push and sell Coca-Cola.

Not long after selling his business at 47 Peachtree Street, in order to devote undivided effort to Coca-Cola, Candler moved the latter to 42-1/2 Decatur Street, occupying the second and third stories of a three story building just east of Pryor Street. The location was handy but the quarters were less than ideal. The ground floor of the building was occupied by a clothing and dry goods merchant. Occasionally manufacturing operations upstairs would result in overflowing tanks. The floors were of wood, not impervious to leaks, with the result that now and then Mr. Candler found himself the buyer of unneeded dry goods.

At any rate, by 1893, the Decatur Street quarters had been outgrown and a new location was in order. While the location was new, the quarters were not. The Coca-Cola Company moved to a former residence, built in the early 1860's and resembling somewhat the birthplace of the product. The new address was 77 Ivy Street, southeast corner of Auburn Avenue, future site of the now demolished Wesley Memorial Church. The rambling old mansion was home for five years.

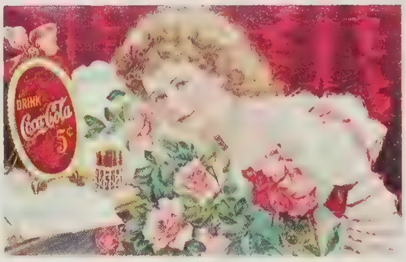
But constant growth was the order of the day; and, in 1898, President Candler came to the sensible decision that the season for makeshift headquarters had ended. He would erect a building specifically tailored to the needs of the business. To that end, he acquired a site at the intersection of Edgewood Avenue and College Street, four blocks east of Five Points. On December 13, 1898, the completed triangular-shaped, three-story building was christened with a public ceremony. Its climax was reached when Mr. Candler, short of stature and reedy of voice, proclaimed from the front steps, flanked by marble columns, that "this building is sufficient for all our needs for all time to come." He was a better businessman than orator or prophet. The building was "sufficient" for less than a decade.

The triangular building is gone now but the famous product made there during the early years of the century left its imprint. Since 1905, College Street has been known as Coca-Cola Place.

Promotion, Distribution, and Sales

Throughout the decade of the 1890's, the sale of Coca-Cola responded rather dramatically to the efforts of Asa G. Candler

Bottles for Coca-Cola evolved over the years: The Hutchinson type used until 1900, the straight wall design until 1916 and the distinctive contour bottle used after 1916.



The "Rose Girl" of the 1901 calendar was actress Hilda Clark.

In the early days, Coca-Cola was sold only by the glass at soda fountains.

A metal box was used in the early 1900's to ship bottles of Coca-Cola by rail

In the early 1900's, signs were a major form of advertising.

and his associates. The gallon sales rose from almost 9000 in 1890 to nearly 400,000 in 1900. Then, as now, the factors underlying this success were a good product, supported by honest advertising and promotion, plus ever widening availability.

The first specific budget for advertising, of which there is a record, was adopted in 1892. The amount was $11,401. Each year during the 90's, the advertising budget grew, until at the turn of the century it stood at $84,508.

In addition to continued use of point-of-sale signs, newspapers and complimentary tickets, begun by originator Pemberton, the sheer variety of media conveying the simple invitation to "Drink Coca-Cola, Delicious and Refreshing," employed during the 90's was notable. Included were outdoor posters, painted wall signs, and such utilitarian items as blotters, calendars, serving and change trays, Japanese fans, bookmarks and marble paper weights.

During the same period, dealer zeal was stimulated by premiums. These were items for use in the store, both utilitarian and ornamental, and were awarded on the basis of gallons of Coca-Cola purchased. In tempting variety, they included prescription scales and cabinets, wall clocks, show cases and, most colorful and elegant of all, porcelain urns for the adornment of the soda fountain itself. Survivors have become sought-after collectors' items.

No manufactured product has ever been able to achieve widespread use or consumption by advertising alone. The personal touch, provided by salesmen is a necessary element, and was not overlooked by The Coca-Cola Company in its early years.

By 1896, the Company had ten salesmen on the road from March 1 through October 15. Indeed, the business had always been seasonal. Candler took steps to end the summertime-only reign of the soda fountain. Plans revealed at the annual Board meeting, December 9, 1896. extended the season for the salesmen from February 1 to November 1. The bridge across the seasons was incomplete, but it was being built.

During the course of his annual report for 1897 operations, President Candler lauded his salesmen. He said:

"Our salesmen have become known everywhere in this Union as gentlemen in every respect, and have not only maintained the good name of the Corporation, but have succeeded in making Coca-Cola a familiar and gracious name in all the land."

Throughout the last decade of the Victorian Age, with an ever increasing stimulus from sales and advertising effort, the business of Coca-Cola made rapid strides.

In 1892, jobber rights for the sale of Coca-Cola in the six New England states were given to the Boston firm of Seth W. Fowle and Sons for a period of 20 years.

Eighteen ninety-three was a panic year for business, generally, but not for The Coca-Cola Company. At year's end, the directors declared a dividend on the stock, "provided that such payment will not cripple the financial status of the Company." It did not and, in fact, never has. Dividends have been paid every year since.

A long step forward was taken in 1894 when the first manufacturing plant outside of Atlanta was put into operation at Dallas, Texas. Problems of distribution and transportation were beginning to be faced more boldly. Before the decade ended, additional syrup-making plants were established in Chicago, Los Angeles, and Philadelphia.

On December 4, 1895, President Candler was able to tell his stockholders that "Coca-Cola is now sold and drunk in every state and territory in the United States." Volume may have been thin in some areas, but at least every area was exposed to Coke.

That Candler was giving some thought to foreign fields for Coca-Cola is indicated by statements in his 1897 Annual Report, made on January 13, 1898. He said: "Coca-Cola is now sold . . . in some of the cities in Canada, and in the city of Honolulu, H. I. Arrangements are on foot for its introduction into the Republic of Mexico. We are firmly convinced that wherever there are people and soda fountains, Coca-Cola will, by its now universally acknowledged merit, win its way quickly to the front rank of popularity."

Two years later, on January 11, 1900, he told his stockholders: "In May, last, we employed a man for Cuba and Puerto Rico, headquartered at Havana . . . ."

Even so, foreign sales in substantial volume, except in Canada, lay many years in the future; and the vehicle was not to be the soda fountain, but the bottle.

Serpents in the Garden

Among the most valuable assets of The Coca-Cola Company are the trademarks for its principal products.

While in constant use to identify the product since 1886, "Coca-Cola" was not registered in the United States Patent Office until January 31, 1893. This registration, as well as others, has been renewed as required.

An old saying, certainly with elements of truth, is that "Imitation is the sincerest form of flattery." In business, however, the flattery is of dubious value, particularly for the imitated product.

By 1895 at the latest, imitators of Coca-Cola had appeared—"Serpents in the garden"—as *Fortune Magazine* called them many years later. President Asa

Calendar art was often used for other advertising items as the change trays.

Bottling operations were small in the early 1900's.

Horse-drawn wagons were used for delivery by the Coca-Cola Bottling plant in Hamilton, Bermuda.

G. Candler took note in his report to stockholders on December 9, 1896, when he said:

"... The unscrupulous pirates often found in even the most respectable trade positions find it more profitable to imitate and substitute on the public than to honestly avail themselves of the profit and pleasure which is ever the reward of fair dealing and honorable competition."

Whereupon, on motion, "the president was requested to consult an attorney in reference to the advisability of bringing a suit or suits, against parties who are selling substitutes for, or imitations of Coca-Cola and then to commence proceedings at once if so advised."

Thus began the long and continuing war against those who seek to reap where they have not sown. In the years since, The Coca-Cola Company has been a party to more litigated cases in its battle to establish and protect its trademarks "Coca-Cola" and "Coke" than any other trademark owner in history.

And the legal battle continues under the guidance of Julius R. Lunsford, Jr., vice-president, Trademarks and Patents Department and a former president of The United States Trademark Association. Indeed, the Company's Legal Department successfully concludes dozens of substitution cases annually.

Defendants in these cases are enjoined from selling or offering for sale in response to orders for "Coke" or "Coca-Cola" any product other than that of The Coca-Cola Company without telling the customer that Coca-Cola is not available and giving him an opportunity to accept or reject the substitute. Lunsford, who is recognized as one of the leading trademark attorneys in the country, emphasized that these suits are filed by the Company "only as a last resort to protect our trade rights and the purchasing public."

Consumers began referring to Coca-Cola as "Coke" soon after the turn of the century—and use of that name for the beverage became increasingly common to the end that The Coca-Cola Company first used "Coke" in its advertising in 1941, and registered it in the U.S. Patent Office in 1945. Coca-Cola was first registered in 1893. The distinctively shaped contour, or conformation and design of the famous Coca-Cola bottle was registered as a trademark on April 12, 1960. It was the second package to become a registered trademark in this country.

The Coca-Cola Company is determined that its trademarks will never become generic words, and the Legal Division's program is designed to protect, police, and maintain the distinctiveness of these trademarks. One of the cardinal rules is that "Coca-Cola" and "Coke" must be used only as the brand name for the same product of The Coca-Cola Company. Never can their use be condoned to convey any other idea—and never can they be displayed in a way that would permit the public to read into them any other meaning.

A program was initiated in 1940 to prevent incorrect use of Coke and Coca-Cola by the press. From the time the program was originated, the Company has subscribed to press clipping services and has communicated with each and every publication in which its trademarks were used incorrectly.

A recent cartoon in *Playboy Magazine* showed a man standing at a counter and placing his order with these words: "I'll have a Coca-Cola Reg. U.S. Patent Office, please." One of Julius Lunsford's friends sent him the cartoon with the comment, "This could be no one but you!"

Lunsford, who laughed at both of these bits of humor, nevertheless is very serious about the importance of protecting his employer's trademarks. Summing up, he said: "It's a lot easier to *retain* a trademark than to *regain* it after it is lost."

The Thomas-Whitehead Contract

As particular years mark turning points in the careers of nations, cities and individuals, so do they mark important developments and changes in the growth of commercial enterprises. Thus it was that the last year of the nineteenth century triggered a tremendous forward step for Coca-Cola. The way was opened for large-scale bottling, thus loosening the chain that for a decade and a half had bound Coca-Cola to the soda fountain.

As the popularity of the soda fountain, a typically American institution, increased through the decade of the 1890's, so also did the popularity of Coca-Cola. However, Mr. Candler did not look beyond the fountain for distribution. In that respect, at least, his vision was restricted. It is not surprising, therefore, that his attitude toward early bottling operations can only be described as casual.

Joseph A. Biedenharn, then of Vicksburg, Mississippi, was a confectioner and soda water bottler. He had been selling Coca-Cola at a soda fountain since 1890. He also had a personal acquaintance with Asa G. Candler and with Samuel C. Dobbs, Candler's star salesman. During the summer of 1894, a year in which sales of Coca-Cola syrup reached an annual volume of 64,333 gallons, Joe Biedenharn pondered the problem of how to increase sales. He enjoyed a good, country trade in the Vicksburg

An original metal sign from the early 1900's featured opera star Lillian Nordica.

Hilda Clark appeared on a 1901 poster with a Spanish slogan for Cuban market.

This message of refreshment was typical on metal signs of the early 1920's.

area." Reflecting on this, he concluded that his customers, who were not accessible to his soda fountain, might enjoy Coca-Cola. And the only way to get it to them was in bottles.

So, without further ado, Biedenharn began to distribute Coca-Cola in bottles along with his line of flavors. It did not occur to him to consult Mr. Candler. But he did send the first case of two dozen bottles to the Company president. Candler acknowledged the gift with the comment that "it was fine." He did not elaborate, nor did he ever return the bottles and case.

Thus, the first Coca-Cola bottling operation, limited in scope though it was, got off to a start without benefit of conference, legal counsel or formal contract. The operation was formalized later.

During the next five years of rapidly expanding fountain sales, it is reasonably certain that President Candler gave little or no thought to Joseph Biedenharn's modest bottling effort. Indeed, Candler was never known to be interested in bottling Coca-Cola himself; yet, the bottle was the package destined to revolutionize the business.

In the early summer of 1898, the man who was to set the train of worldwide Coca-Cola bottling in motion was serving in the commissary department of the United States Army in Cuba during the Spanish-American War. Benjamin Franklin Thomas, born in 1861 in Maysville, Kentucky, had long resided in Chattanooga, Tennessee, where he was both a lawyer and businessman. He had previously formed a liking for Coca-Cola at the fountain. There were times, of course, when he was not handy to a fountain, but would have thoroughly enjoyed a drink of Coke.

While in Cuba, he noticed the rather brisk sale of bottles of a carbonated soft drink. This beverage had a pineapple base. An idea took root in his mind. Why not bottle Coca-Cola, thus making it available everywhere?

The more he thought about the matter, the more feasible the idea seemed to be. Upon his return to Chattanooga, Thomas outlined his thoughts to his friend, Joseph Brown Whitehead. Whitehead, also a young lawyer, was born at Oxford, Mississippi, in 1864 and had settled in Chattanooga in 1888, not long after Thomas' arrival. He had something of a promoter's mind and subscribed heartily to Thomas' idea concerning Coca-Cola. They decided to go to Atlanta, for the whole project depended upon permission from The Coca-Cola Company to bottle its product.

Neither Thomas nor Whitehead knew Mr. Candler, but introductions were arranged and an interview set up. President Candler by no means shared the enthusiasm of his visitors for the commercial possiblities of Coke in bottles. He tried to discourage them. But they were insistent. After repeated assurances from the Chattanoogans that they would assume full responsibility in the domain of the bottle, Mr. Candler agreed to a contract. This historic document, dated July 21, 1899, conveyed to Messrs. Thomas and Whitehead the right to bottle and distribute Coca-Cola in that package in all parts of the United States excepting the six New England states; Texas and Mississippi.

The grantees returned to Chattanooga understandably elated, although it is reasonably certain that neither of them realized the potential value of their contract. Indeed, the rather terse agreement, comprising approximately 600 words, was to become one of the most important commercial contracts in history. It remains today, nearly three-quarters of a century later, the keystone upon which the Coca-Cola bottling business rests.

As a matter of fact, this remarkable document, as it was later instrumented by Messrs. Thomas and Whitehead and their successors in interests, formed the basis for the unique distribution system that characterizes the entire soft drink industry.

This original bottling agreement provided in essence that the Messrs. Thomas and Whitehead should establish a bottling plant or plants without any expense or liability against The Coca-Cola Company. That the parties of the first part (Thomas and Whitehead) agree to put up in bottles a carbonated drink containing a mixture of Coca-Cola syrup and water charged with carbonic acid gas under a pressure of more than one atmosphere. The parties of the first part further agreed to keep an adequate supply of bottled goods on hand to supply demand; to buy all needed Coca-Cola syrup from The Coca-Cola Company, and not to use any substitute or imitation in lieu of Coca-Cola.

In return, party of the second part (The Coca-Cola Company) agreed to sell Coca-Cola syrup to the parties of the first part at a fixed price per gallon; to furnish all necessary labels and advertising matter as deemed advisable by the Company, and granted sole and exclusive rights to use the trademark Coca-Cola, so long as such use did not interfere with or conflict with the soda fountain business of The Coca-Cola Company.

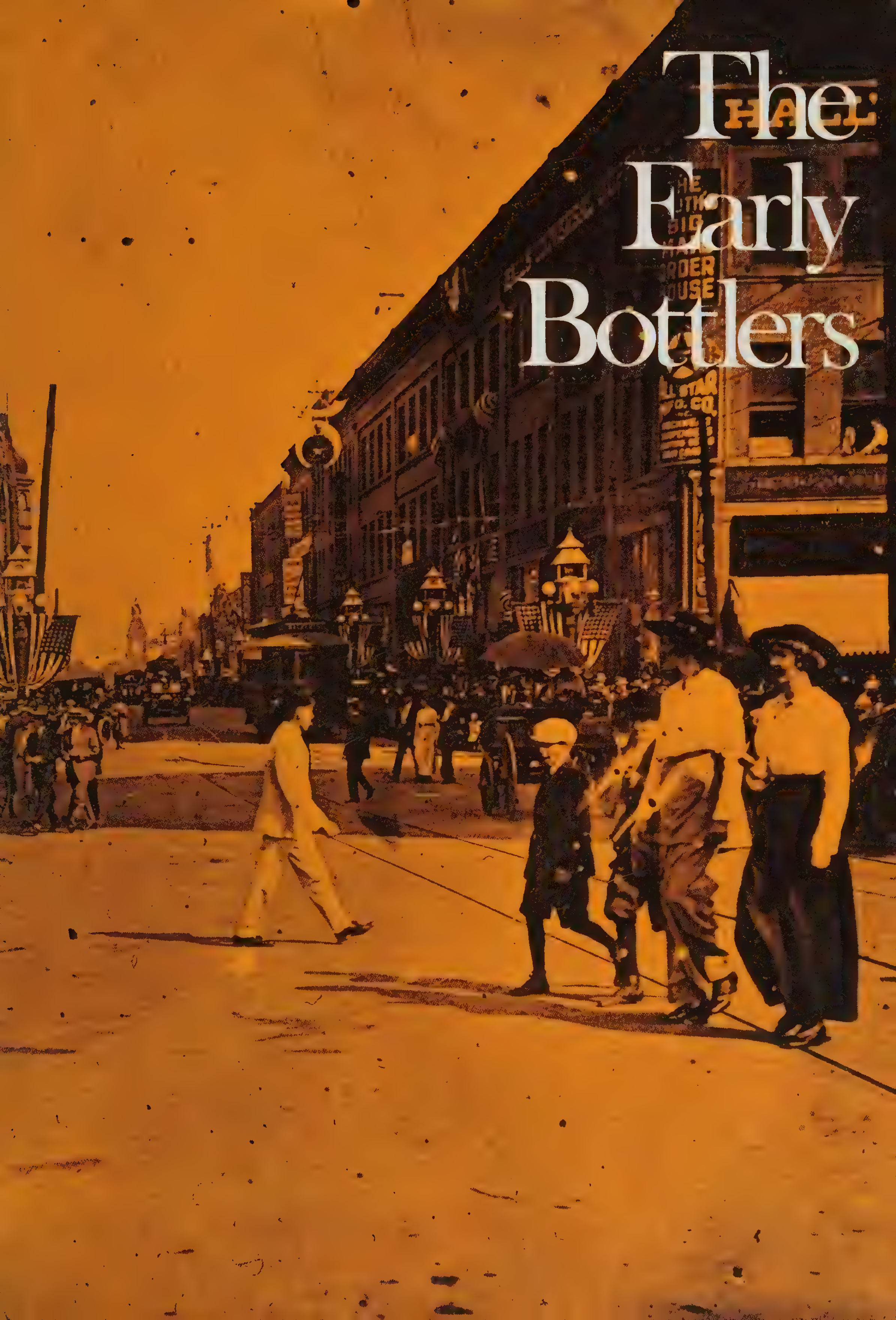
The six New England states were excepted from the contract of 1899 because of the Seth Fowle contract of 1892, which ran its course of 20 years and expired in 1912. Texas was omitted because of some pending negotiations concerning the Corsicana area, which proved abortive. Mississippi was excepted pending a more formal agreement with Joseph A. Biedenharn of Vicksburg.

Opera star Lillian Nordica was featured on the 1904 calendar.

A blotter in 1904 announced that Coca-Cola syrup was being manufactured at four locations beside Atlanta.

A metal change tray was produced in 1904 to commerate the St. Louis World's Fair.

The Early Bottlers



Part Three

The Distinctive Package

At the turn of the century, it took about $5,000 to equip an average-size bottling plant. Benjamin F. Thomas had that amount on hand or on call. Joseph B. Whitehead was less affluent. But, he had a one-half interest in a valuable contract and a friend with vision and capital.

John Thomas Lupton was a contemporary of Messrs. Thomas and Whitehead, having been born in 1862 in the Valley of Virginia at Winchester. He had a good education, primarily in law, and was admitted to the bar in 1886, the year Coca-Cola was launched in Atlanta. He began practice in Chattanooga the following year, and for a time was associated with William Gibbs McAdoo, a future Secretary of the Treasury and son-in-law to be of President Woodrow Wilson. Soon thereafter, young Lupton married the daughter of Z. C. Patten, founder of the Chattanooga Medicine Company. Indeed, before he was 30, Lupton withdrew from the practice of law to assist his father-in-law in the operation of the Medicine Company.

John T. Lupton was a man of distinguished mien, nearly six feet two and weighing a trim 173. His eyes were gray and his hair, originally black, turned white in later years. His voice was well-modulated and he talked with the assurance of the well-educated, widely traveled, successful businessman. Fishing and golf were his relaxations.

With all of his business acumen, however, his most successful investment was the relatively modest sum, between $2,500 and $5,000, he laid out to get Joseph B. Whitehead started, thus acquiring half of Whitehead's interest in the contract of July 21, 1899. Lupton died in 1933, but his large interest in Coca-Cola bottling plants is looked after by his son, T. Cartter Lupton. Grandson, John Thomas Lupton, II, serves on the Board of The

Coca-Cola Company.

Meanwhile, Ben Thomas established a bottling plant in Chattanooga. This plant, opened in the late autumn of 1899, was the first tangible result of the contract signed a few months previously.

About this time, Thomas and Whitehead came to a realization that it would not be possible, financially or physically, for them personally to blanket the country with bottling plants. They had the obligation under their contract with Mr. Candler to supply the demand for bottled Coca-Cola in the territory comprising almost the entire United States; and it became immediately apparent that it would be necessary, in order for them to discharge their obligation, to sub-contract the right to bottle Coca-Cola to private investors throughout the country.

Thereupon they began, with the approval of The Coca-Cola Company, a search for qualified individuals willing to invest their own capital in return for the exclusive right to bottle and sell Coca-Cola within a specific territory. The

Change trays, such as the 1906 issue, have become collector's items.

The 1905 outdoor sign is an example of one early trademark protection activity.

A 1905 blotter stressed the refreshing theme.

In San Luis Potosi, Mexico, a large metal sign greets visitors.

incentive provided by the grant of an exclusive territory, coupled with the license to make use of the trademark, was destined to boot-strap a virtually non-existing business into a major industry in U.S. commerce. The initial investments by the first Bottlers, though modest by today's standards, often represented the total resources of the original Bottlers. The product had at that time attained only modest celebrity, and the task of enlisting qualified Bottlers throughout the country was a formidable one. As a result, it was necessary to assure the Bottler that he would have the exclusive right to bottle and sell Coca-Cola in the particular territory in return for the Bottler's agreement to make the investment in resources and effort that was required to carry out the obligations of the original grant from Mr. Candler. As the individual efforts of the Bottlers, stimulated by their proprietorship in their territories, opened new avenues for growth, the Bottlers and their successors have made ever-increasing investments necessary to carry on their expanding businesses.

Not long afterward, as a result of amicable differences between the Messrs. Thomas and Whitehead, they split their large domain. The partners agreed that Whitehead would make the geographical division and that Thomas would have his choice of the two resulting areas. He chose the heavily populated segment of the country, still, for the most part, included in the territory of The Coca-Cola Bottling Company (Thomas) Inc., plus the states of California, Oregon and Washington. Thomas elected to stay in Chattanooga; Whitehead moved to Atlanta in 1900, and Lupton remained in Chattanooga as the equal partner of Whitehead.

In April 1900, Joe Whitehead secured a permit from the City of Atlanta to open a bottling plant and went into operation on the southeast corner of Edgewood Avenue and Courtland Street for the summer season. This original Atlanta operation, progenitor of The Atlanta Coca-Cola Bottling Company, was a joint enterprise of J. B. Whitehead and J. T. Lupton. Whitehead was the active manager until 1903, when Arthur Montgomery of the old Southern Express Company purchased a third interest and took over active management. The plant is now, in 1973, in its third generation of Montgomery family management.

In 1901, Ben Thomas sold The Coca-Cola Bottling Works of Chattanooga to his friends, James F. Johnston and William H. Hardin. It is reasonably certain that these men became the first operating bottling plant owners under the 1899 contract, after original grantees Thomas and Whitehead.

President Asa G. Candler, of The Coca-Cola Company, must have been pleased indeed at the zeal displayed by the two insistent young men to whom he had granted bottling rights in 1899. During the following decade, 379 plants had been put into operation, inspiring J. J. Willard, then at Philadelphia and a relative of Candler, to launch, in 1909, a new magazine which he named *The Coca-Cola Bottler.*

As the search for local Bottlers met with increasing success, administrative responsibilities grew apace. It soon became apparent to Whitehead and Lupton that they both had physical and financial limitations. They could never hope to adequately serve their territory directly as actual Bottlers and, in addition, act as "franchisers" to others who would be granted contracts to process and sell Coca-Cola locally in a specified territory.

And so, they divided their large domain

into three separate areas, supervised by three separate companies whose sole function was to issue contracts authorizing locally owned and operated companies to process or bottle and market Coca-Cola with the knowledge and consent of The Coca-Cola Company.

The arrangement was akin to the old familiar one of "Wholesaler" and "Retailer." Whitehead and Lupton, as "Wholesalers," purchased Coca-Cola syrup from The Coca-Cola Company and sold it to the local bottling companies which became "Retailers" in processing or bottling and marketing the finished product, Coca-Cola.

The designation "Parent Bottler" was chosen in lieu of the more ambiguous "Wholesaler." So was born the distributional structure which was destined to serve for so long and so effectively the manufacturing and marketing needs of a unique new enterprise.

And thusly came into being the four Parent Bottling companies: The Coca-Cola Bottling Company, with headquarters in Atlanta; The Coca-Cola Bottling Company (1903), with offices in

The stained-glass leaded Tiffany-type chandelier was used for advertising between 1905 and 1920.

A 1905 curb service advertisement reflected America's new mobility.

Nearly 200 Bottlers attended the 1909 Bottlers Convention held in Atlanta.

Dallas, Texas; the Western Coca-Cola Bottling Company, headquartered in Chicago, and The Coca-Cola Bottling Company (Thomas), Inc., in Chattanooga.

It will be remembered that the states of Mississippi and Texas were excepted from the original contract of 1899. In 1907 Mississippi, with the exception of the Vicksburg area, was divided between The Coca-Cola Bottling Company in Atlanta and the Thomas Company in Chattanooga.

For some time J. A. Biedenharn, who had begun to bottle Coca-Cola without formal contract back in 1894, demurred to overtures that his operation be formalized under the terms of the 1899 contract. He finally agreed, however, and in 1907, a contract for the Vicksburg territory was issued by The Coca-Cola Bottling Company to the Biedenharn Candy Company.

The bottling negotiations concerning Corsicana, Texas, which barred that state from the 1899 agreement, came to an end soon thereafter; and, in 1902, the entire state was conveyed by The Coca-Cola Bottling Company to J. B. Whitehead and J. T. Lupton.

Oldest of the Parent Bottling companies is, of course, The Coca-Cola Bottling Company (Thomas), Inc., generally known as the "Thomas Company." Organized in late 1899, its headquarters have always been in Chattanooga.

For a quarter century following 1899, bottling contracts in the States of California, Oregon, and Washington were issued directly by the Thomas Company. Then, in 1924, George T. Hunter, nephew of and successor to B. F. Thomas, organized the Pacific Coast Coca-Cola Bottling Company. It was domiciled in Los Angeles and given jurisdiction over the three states just named.

Rich in historical tradition though they are, the six New England states constituted the last geographical area within the United States as virgin territory for Coke in bottles. Its organization awaited the expiration of the twenty-year Seth Fowle contract of 1892, which expired early in 1912. Whereupon, The Coca-Cola Company began to issue individual bottler contracts. First was for Danbury, Connecticut, on January 15, 1912. The Company continued the direct issuance of such contracts in New England until 1916, when The New England Coca-Cola Bottling Company was chartered as a Delaware corporation.

Over a period of 20 years, beginning in 1923 with The New England Coca-Cola Bottling Company and ending with The Coca-Cola Bottling Company (1903) in 1943, all of the Parent Bottling companies except the Thomas Company were acquired by The Coca-Cola Company. The Thomas Company continued under its original ownership and management.

By the turn of the century and the beginning of large-scale bottling of Coca-Cola, the long era of selling food and other consumer products at retail had, for the most part, passed the cracker barrel or bulk stage. Distinctive individual packages were being developed and put to use. They took various forms as to size, shape, color, and trademark usage.

It is true that during the early years of this century the bottle for Coca-Cola enjoyed great popularity as a convenience package. But as a package, it did not produce a sharp image in the public mind because it varied from territory to territory. Variation was mostly in color and shape, though the famous trademark appeared somewhere on every bottle. Such variation also tended to make substitution easier. Here, indeed was a problem that called for a solution.

For several years prior to his death in 1914, Ben Thomas kept emphasizing the need for a distinctive package. Indeed, he would often say to his young business associate and nephew, George T. Hunter, that, "We need a bottle which a person can recognize as a Coca-Cola bottle when he feels it in the dark. It should be so shaped that, even if broken it would be recognized at a glance for what it is."

But the prime mover in this direction was neither Parent Bottler nor local Bottler. He was a lawyer. Harold Hirsch, a member of one of the city's oldest families, was born in Atlanta in 1881. After college, he began to practice in his native city in 1904. He soon became a member of the law firm of Candler, Thomson and Hirsch, general counsel for The Coca-Cola Company.

In July, 1913, Harold Hirsch wrote to all Parent Bottlers and to The Coca-Cola Company urging the development and adoption of a uniform and distinctive package for Coca-Cola.

C. J. Root, a glass manufacturer, of Terre Haute, Indiana, not only became interested in creating a distinctive bottle for Coke, but was in a position to do something about it.

A gallon earthen jug was used to distribute syrup to fountain outlets.

A 1907 advertisement from "McClures Magazine" carried the copy, "Good To The Last Drop."

The first rectangular tray issued in 1909 featured "The Coca-Cola Girl" by artist Hamilton King.

Root turned the project over to his supervisory staff: Alexander Samuelson, plant superintendent; T. Clyde Edwards, auditor; Roy Hurt, Company secretary; Earl R. Dean, Mold Shop supervisor; and William R. Root, son of the president.

T. Clyde Edwards was asked to research a bottle design that would meet the essential requirements of the Bottlers of Coca-Cola. From this research, Earl Dean developed a bottle design which incorporated a bulging middle with parallel vertical grooves and tapered ends.

This bottle-shape concept, converted into a glass prototype, was patented in Alexander Samuelson's name in November, 1915. The design was modified to accommodate existing bottle line equipment and was introduced into the market in the summer of 1916.

During a Coca-Cola Bottlers' convention, held in Atlanta in 1916, the Samuelson design was chosen over several others, and, early that year, went into production. For the first year, it was manufactured solely by the Root Glass Company. Subsequently, as provided by the contract, other manufacturers were permitted to make the new design.

While most Bottlers had large stocks of old style bottles on hand, the new bottles moved slowly into production lines beginning in July 1916. By September of that year, they were widely in use. Before long, the new design achieved universal use by Bottlers of Coca-Cola. Indeed, during the ensuing half-century, the distinctive bottle has become a worldwide symbol of refreshment. The United States Patent Office took note. On April 12, 1960, the bottle for Coca-Cola was accorded the rare distinction of an entry upon the Principal Register as a trademark.

By the time the First World War ended, the entire continental United States was being served by Coca-Cola Bottlers. In 1919, their number was well over 1,000. Individual Bottlers, during the intervening years, have made tremendous strides. Practically all plants have moved from obscure locations on back or side streets to prominent sites. Many have become local show places. Machinery, originally operated by hand or foot power, has become largely automatic. Delivery equipment has progressed from the plodding horse and wagon to primitive chain-driven trucks to streamlined motorized equipment. Many plants are now operated by the third and fourth generations from the founding fathers.

Not the least interesting aspect of historical inquiry is speculation—speculation as to what might have happened had not a particular event occurred. Indeed, at this point in this account of The Coca-Cola Company, the question arises as to what might have happened to the soft drink industry had Asa G. Candler not given bottling rights (for one dollar of which there is no record of collection) to Benjamin F. Thomas and Joseph B. Whitehead, but instead retained them.

Normally, a manufacturer processes and packages his products in final consumer form and distributes them to the trade either directly or through distributors or brokers. It is likely that had not Mr. Candler conveyed the rights to Whitehead and Thomas, bottled soft drinks in the United States today would be distributed throughout the U.S. by The Coca-Cola Company and other manufacturers of syrups and concentrates, rather than by Bottlers.

But Candler did transfer the bottling rights as already described, and Whitehead and Thomas assumed the obligation to build bottling plants adequate to supply the demand for Coca-Cola throughout the United States. Unable to do so by means of their own efforts and financial resources, Thomas and Whitehead and their successors thus created hundreds of local businesses by granting licenses, territory by territory to men of character and enterprise who were willing to make the investment and to sacrifice and labor in order to build up their enterprise. At that time, the soft drink industry was in its early stages of development and the risks of entry then, as now, were not insubstantial. It was by no means a simple task to recruit Bottlers. Prospective Bottlers did not beat a path to the door of the Parent Bottlers but rather the Parent Bottlers found it necessary to go about the country from territory to territory and seek out the Bottlers. They recognized that it would be necessary to provide their prospective Bottlers with certain inducements and guarantees; and their principal inducement to each of these small businessmen was a specific geographical area or territory in which they would have the exclusive right to develop a market and sell Coca-Cola. The Parent Bottlers had to agree that, if the Bottler invested his limited capital and considerable energy in developing a territory, the Parent Bottler would not capitalize upon the goodwill created by the Bottler by building a plant and selling Coca-Cola in competition with the Bottler, and would not dilute the Bottler's efforts by giving the rights to bottle and sell in the Bottler's territory to anyone else.

Delivery trucks, such as the 1910 model, widened distribution.

The "arrow" design was used in an early advertising campaign.

This poster was one of the advertising items used in 1910.

The wisdom of this unique method of production and distribution of a consumer product surely was not fully apparent when the contracts were originally granted, but history has certainly proven the value to the Company and indeed to the industry of this licensor-licensee arrangement. As the Bottlers' efforts were rewarded by increased demand for Coca-Cola, they have taken increased pride in the product they bottle and sell and in being the sole proprietor of the bottling business in their territory. They have expanded their businesses as the population has grown and the country has developed, utilizing the finest in bottling and merchandising equipment as such have been developed and improved from time-to-time. Indeed, so effective have been the efforts of the Bottlers in distributing Coca-Cola throughout their territories that the ubiquity of the product and of its advertising are the marvel of the business world.

As this system of the locally owned and operated Coca-Cola bottling plant developed, the process generated home-town capital and home-town employment. Indeed, the Coca-Cola bottling plant has become indigenous to the local scene. Its success and prosperity are shared as it is served by local enterprise and skill. The end result of this unique business arrangement has been the creation of a system of distribution virtually without parallel in world commerce.

It is responsible today for over 1,600 Coca-Cola bottling plants around the world, many of which are small businesses and which in the aggregate represent investments running into the hundreds of millions and which provide livelihood for tens of thousands of families. The merits of this system of production and distribution, catalyzed by its proprietorship incentive and trade mark license were recognized by the other soft drink companies as they entered the market and imitated the system pioneered by the Coca-Cola Parent Bottlers under grant or license from The Coca-Cola Company.

Fifty-four years after the granting of the original bottling contract to Thomas and Whitehead, the system which developed from it gave rise to comment by the late Thurman W. Arnold, formerly an Assistant Attorney General of the United States. Writing in *Collier's Magazine* in 1953, he said:

"When, as head of the Antitrust Division, I tried to explain to businessmen the competitive economic ideal of the Sherman Antitrust Act, they challenged me to name one big American business that violated neither the letter nor the spirit of our antitrust laws. It was a fair question. I answered by describing The Coca-Cola Company. Since then I have learned more about Coca-Cola, and I am convinced that this corporation represents the emerging pattern of our future free market economy."

The Refreshment Market

While President Asa G. Candler was doubtless pleased with the activity being generated by the launching of the bottling business and the syrup sales for which it was responsible, he did not for one moment pause in his principal activity, that of manufacturing Coca-Cola syrup for sale through soda fountains.

To this end, during the early years of the century, more and more attention was being given to those twin sources of business stimulation, sales and advertising. For a number of years after the organization of The Coca-Cola Company, Frank M. Robinson, in addition to his duties as secretary, was in charge of advertising, and supervised the then small sales staff. As time passed, Samuel C. Dobbs, nephew of Asa Candler, first employed as a stock clerk, began to exhibit considerable sales ability. Inevitably, an overlapping developed between the duties of Messrs. Robinson and Dobbs. This ceased when, in 1906, President Candler established a separate Sales Department, with Dobbs as sales manager. Robinson continued to handle advertising.

Even before the twentieth century dawned, sales meetings had become fairly regular. Usually between Christmas and the New Year all salesmen and branch managers attended a home office conference where plans for the ensuing year were discussed. It was not until 1903, however, that the first convention for Fountain Sales personnel, exclusively, was

The 1912 change tray was painted by Hamilton King.

The horse-drawn wagon was still the main delivery method between 1910 and 1915.

Two smiling models illustrated the 1912 calendar.

Sports heroes like Brainy Collins endorsed the product in 1912.

held. It was staged in Atlanta and distinguished by the title "Coca-Cola Institute." This meeting was a harbinger of today's well-staged and sophisticated Fountain Sales meetings and conventions.

The business of bottling Coca-Cola was a decade old when it was realized that meetings of individual Bottlers would facilitate an exchange of ideas and technical information. To that end, the first convention of bottling plant owners and managers, primarily those in the southeast, was held in Atlanta in January, 1909.

During the years between 1900 and the end of World War I, advertising for Coca-Cola not only increased markedly in volume, but also in quality. After 1900, the horizons of the business were expanded considerably by the new concept of "Quenches thirst," and by increased emphasis given an old concept, still in use, "Delicious and refreshing." Coca-Cola had moved completely into the refreshment market.

The years 1904 and 1906 were landmarks in advertising for Coke. The former was especially notable in that nationally circulated magazines such as *Munsey's, Everybody's, Saturday Evening Post,* etc., were first used. Nineteen six was distinguished by the beginning of a 50-year association between The Coca-Cola Company and the D'Arcy Advertising Company of St. Louis. Its founder, William C. D'Arcy, beginning in 1919, was to serve for a number of years on The Coca-Cola Company's Board of Directors.

Magazines provided Coca-Cola with a prestige medium. They also provided space for more copy and variety of illustration. Moreover, magazines went into the homes of the more literate and affluent segment of the population and were generally read at leisure. They have been in constant use for keeping Coke before the public in a colorful and appetizing manner.

Through the years, too, magazines, in addition to other media, have reflected changing themes and concepts associated with Coca-Cola.

In 1905, for instance, sales figures were quoted to indicate the growing acceptance of Coca-Cola; and it was advertised for a short time as a temperance beverage. Copy was also used featuring the five-cent price and widening distribution with the use of such slogans as "Wherever you go," "At all fountains." Coke was pictured invariably in pleasant surroundings, giving it a class appeal. Meanwhile, particularly in 1906, Coca-Cola was described as a "quality drink."

In 1907, other advertising concepts were introduced associating Coca-Cola and baseball with slogans such as "The great national drink at the great national game," and the utilization of direct testimonials of great players of the period such as Hans Wagner, Napoleon Lajoie, Ty Cobb and others. Simultaneously, the universal appeal of Coca-Cola was being illustrated by such slogans as "The classes and masses all enjoy Coca-Cola." Readers were being told that Coca-Cola was "Thirst quenching" and that it "Lightens worries." "Good to the last drop" was used for awhile during the year and then dropped. The slogan was subsequently used for Maxwell House Coffee to good effect. It was also during 1907 that the arrow design, usually linking glasses of Coke with soda fountains or bottles with thirsty citizens was introduced. This general motif was featured for the next several years.

Nineteen-eight gave prominence to the words "Cooling" and "Wholesome." Other 1908 advertising compared

Coca-Cola with tea and emphasized the temperance theme with "The drink that cheers but does not inebriate." Widespread substitution was felt at this time too, for customers were admonished to "Get the Genuine."

During succeeding years the word Coke, used in a beverage sense, became so indelibly associated with Coca-Cola that it was finally adopted as an abbreviated trademark, having been first used in advertising for Coca-Cola in May 1941 and on labels on December 10 of the same year. Coke was registered on August 14, 1945, in the United States Patent Office.

While the problems of litigation and substitution plagued the Company during the 1909-1915 period, some more positive and happier notes in advertising were launched, such as, "Wherever you

The 1914 label was used on a 5-gallon keg of Coca-Cola syrup.

With success came substitution. A 1914 sign advised customers to demand the genuine.

Serving tray issued in 1914 featured "Betty," one of the most famous models.

A 1915 cardboard cutout display promoted Coca-Cola in glasses.

go," "Satisfies," "Has character." The word "Pause" appeared for the first time in primary copy, with the suggestion, "Pause in the mad rush, seek a soda fountain."

It was also during 1915 that the Company acknowledged its lengthening history for the first time by pointing out that Coca-Cola had been enjoyed for 29 years and that 3 million glasses a day were being consumed. At the same time, Coca-Cola was referred to in advertising as "The standard beverage."

In 1916, the phrase "Wholesome refreshment" was given wide currency. And, in the Company's 30th Anniversary year, the public was invited to send for the booklet, *The Romance of Coca-Cola.* Nineteen-seventeen featured quality with "Taste in the test" and "The drink of the year." After the United States entered World War I in April 1917, sugar and, consequently, Coca-Cola were rationed. Therefore, 1918 advertising outlined the facts about rationing and gave wide currency to the slogan "Making a soldier of sugar."

By the middle of the first decade of the present century, the sheer variety of media being used upon behalf of Coca-Cola was remarkable. In addition to magazines and newspapers, the list included streetcar cards, painted-wall signs and bulletins, lithography, complimentary tickets, leather novelties, hats, caps and aprons, oil cloth and cotton signs, metal signs, posting paper, 8-day clocks, celluloid novelties, paper napkins, matches, thermometers, door plates, pocket knives, decalcomanias, watch fobs, blotters, pencils, mirrors and wagon umbrellas.

Ever increasing advertising and promotion was reflected, happily, in ever increasing sales. In 1900, a total of 370,877 gallons of Coca-Cola syrup were sold. Volume first exceeded one million gallons annually in 1904. By 1917 gallonage sales had soared to over 12 million annually.

Solid Growth

As the business of bottling Coca-Cola under the contract of 1899 reached the end of its first decade, Secretary F. M. Robinson reported that sales of Coca-Cola to bottling companies, not including Canada and Cuba, amounted to 1,325,176 gallons. At the same time volume sold for use in soda fountains came to 2,864,973. Nearly two more decades were to pass before the bottle caught up with the fountain.

Mr. Robinson also reported that during 1909 a total of 15,376 gallons were sold in Canada and 8,592 in Cuba, these being the only two countries outside the United States where any appreciable volume of sales were being made. The Company then maintained offices in both Toronto and Havana.

A property transaction of the period was undertaken because the building that was to be "sufficient for all our needs for all time to come" was outgrown. It had served for a mere decade. The Edgewood Avenue building was sold for $49,000 in October 1910 and a new location and building were secured. The street address was 56 Magnolia. The building stood in the shadow of Atlanta's present sports arena, The Omni.

During the entire Candler era, The Coca-Cola Company was operated by a small but apparently adequate corps of officers. From 1892 through 1905, this group remained the same—Asa G. Candler, John S. Candler and F. M. Robinson. In January, 1906, the president's oldest son, Charles Howard Candler, succeeded his Uncle John, who by then was serving as an associate justice of the Georgia Supreme Court. As 1916 began, C. Howard Candler succeeded his father as president.

"The Romance of Coca-Cola" related the drink's story from 1886 to 1916.

A summertime ad of 1916 described the refreshing qualities of Coca-Cola.

Sugar was rationed in World War I. Advertising gave facts about rationing.

The "World War I" girl was painted by a famous artist for a 1916 point-of-sale display.

Founding Fathers Leave the Stage

Before the end of World War I in 1918, the "founding fathers" of the business had died or retired.

The demise of Dr. John S. Pemberton, when his creation was barely more than two years old, has been noted.

Asa G. Candler, for a few years "sole proprietor" and then for nearly a quarter of a century the guiding hand of The Coca-Cola Company, retired from its presidency in 1916 to seek election as mayor of Atlanta, being succeeded by son, Charles Howard, in the post of chief executive.

Incidentally, Candler offered for mayor at a time when the city sorely needed a competent businessman at the helm. Following his term as mayor, the only political office he ever held, Mr. Candler lived in retirement until his death in 1929. His contributions to the growth and development of The Coca-Cola Company were crucial and to his adopted city, many and varied.

No one, with the exception of Asa Candler himself, made greater, useful impact upon Coca-Cola in its infancy and adolescence than did Frank Mason Robinson. Born in Maine, he came to Atlanta from Iowa in 1886 and was associated with Dr. Pemberton at the time Coca-Cola was created. His long connection with Candler began in 1888;and during his 22 years as secretary of The Coca-Cola Company, his vast attention to detail and intimate knowledge of the product was invaluable. Following retirement at the end of 1913, he continued to reside in Atlanta during the decade of life left to him.

Joseph Brown Whitehead, a co-founder of the business of bottling Coca-Cola, was the shortest-lived of the pioneers. He was a friendly man, easy to approach, affable, ambitious and considerate of those associated with him. Well-educated, he was soft spoken and talked with assurance. While possessed of a keen sense of humor, he enjoyed a good joke, but frowned upon vulgarity. Physically, he was short and heavy-set.

In mid-August 1906, Whitehead, in need of rest and worn with a severe cold, decided upon a brief vacation at his wife's native home, Thaxton, Virginia. During the stay, his cold developed into pneumonia;and after a brief illness, he died at 42 on August 27th.

The management of Whitehead's Parent Bottler interests devolved upon Charles Veazey Rainwater, a bright young man Whitehead had employed four years previously. Rainwater handled the business well. In later years he became a Bottler of Coca-Cola himself and the owner of a number of plants. He lived until April 23, 1973, when he passed away at 91—the dean of Coca-Cola Bottlers.

Many years later, the widow of Joseph B. Whitehead, then Mrs. Lettie Pate Evans, was elected to The Coca-Cola Company's Board of Directors. She continued in the office until her death in 1953.

Benjamin F. Thomas passed from life more than a year before the distinctive contour bottle of 1915 appeared. He would have approved. Ben Thomas was a man of average size and was kindly, attractive, popular, and jolly. His principal hobby was the chemistry of foods, an interest, incidentally, that was a factor leading to his interest in carbonated beverages. Indeed, his office was always marked by the presence of considerable chemical apparatus. Mr. Thomas suffered a stroke in early 1914. Several weeks before his death, which occurred on June

25th of that year, he went to Atlantic City where, it was hoped, the sea air would prove beneficial. It was there that he passed away. He was buried in his home town, Maysville, Kentucky.

The presidency of The Thomas Company fell to the founder's nephew, George T. Hunter, who was to wear the mantle until 1941, a period of 27 years.

An oval serving tray featured the "Garden Girl" in 1920.

A 1919 sign encouraged purchase by the case.

Problems of substitution and litigation continued to plague the Company.

The legal document represents the sale of The Coca-Cola Company (a Georgia corporation) on September 13, 1919.

Transition

Part Four

The Sale

For a quarter century, Asa G. Candler held a dominant control of stock in the Georgia-chartered corporation he had founded. At Christmas 1917, while serving as Mayor of Atlanta, he gave the business to his wife and five children, retaining in his own name only seven shares.

Twenty months later, the most notable business transaction in Southern history was announced. The Coca-Cola Company had been sold for $25,000,000.

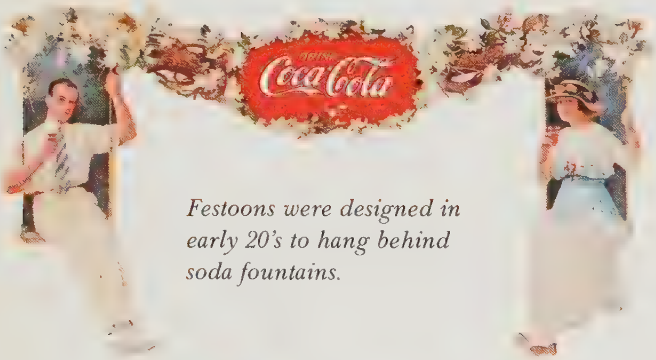
The five children of Asa G. Candler, Messrs. Charles Howard, Asa G., Jr., Walter T., and William Candler, and Mrs. Henry C. Heinz, together with Judge John S. Candler, Samuel C. Dobbs, Frank M. Robinson and Samuel L. Willard, represented the majority ownership at the time the sale was consummated on September 12, 1919.

Chief motivator of the purchase was Ernest Woodruff, backed by the Trust Company of Georgia, of which he was president, and the Chase National Bank and the Guaranty Trust Company of New York City. The basis upon which the stockholders of the Georgia corporation were remunerated for their stock was the issuance to them of $10,000,000 in preferred stock of the reorganized corporation, and the payment of something more than $15,000,000 in cash. The preferred stock resulting from this transaction had all been retired by 1926, leaving only common stock outstanding.

The new company was incorporated in the State of Delaware. Five-hundred-thousand shares of stock were issued and offered to the public, largely through the Trust Company of Georgia, at $40 per share. Charles Howard Candler, formerly president, became Board chairman of the new company; Samuel Candler Dobbs was elected president, and William Candler continued as secretary and treasurer.

The $25,000,000 purchase was a national and international story; but for the South, and more especially, Georgia, where Coca-Cola had its origin, it was a sensational topic of conversation.

Ernest Woodruff, prime mover of the transaction, was born in Columbus, Georgia, in 1863, son of George W. Woodruff, proprietor of the Empire Flour Mills in that city. He attended public schools in Columbus, followed by business college, after which he entered business with his father. Coming to Atlanta in 1893, Ernest Woodruff soon became vice-president and general manager of the old Atlanta Consolidated Street Railway Company. Later he was a potent factor in the success of the Trust Company of Georgia, and in the organization and management of the Atlantic Ice & Coal Corporation, the Atlantic Steel Company and the Continental Gin Company.



Festoons were designed in early 20's to hang behind soda fountains.

The era of the "flapper" was reflected in the 1922 ad of "The Saturday Evening Post."

The bathing girl has been a popular subject, as in the 1921 cut out display.

Early fountain glasses for Coca-Cola were straight sided and tapered at the lip.

Purchase of The Coca-Cola Company caused a host of eyes, which had never before looked his way, to appraise Ernest Woodruff. They saw a man wrapped almost always in silent thought and the smoke of a cigar. He was not an easy man to know. He did have a keen sense of acquisition. He was brusque and frank in business matters; he was extremely gracious and hospitable in his home, and showed unswerving loyalty to his friends. He did not like to be a part of crowds. Yet years later, he was to do more, perhaps, to hold his community together and was to save more families and to prevent more sorrow than any other man in the community.

He was a devoted, faithful husband to a very sweet and gentle lady, the former Emily Winship. In his later years when she passed on, he revealed a side few knew. "I never made a deal in my life," he told a close friend, "that I did not first talk it over with her and obtain her advice."

Despite a reputation for frugality and economy, Ernest Woodruff made many of his close associates rich; and, with his genius for putting together successful business enterprises, he performed an invaluable service to the community. He created literally hundreds of jobs for his fellow citizens, and he attracted needed capital to Atlanta, to Georgia, and to the South.

During the year of the sale, the physical facilities of The Coca-Cola Company were expanded. A branch syrup manufacturing plant was opened in New Orleans; and, in early 1919, the corner of North Avenue and Plum Streets, nucleus of the present site of the Atlanta headquarters building, was purchased for $40,000.

As a matter of fact, the building at 56 Magnolia Street, occupied since 1909, had been outgrown and there was no room for expansion. Executives of the Company had already moved to the Candler Building when the North Avenue site was purchased.

Construction of the North Avenue facility, both office building and manufacturing plant, moved forward and both were occupied in August 1920. The office building, originally three stories in height, was featured by a court entrance on North Avenue. Together with additions and expansions this building has housed the Company longer than its preceding eight locations combined.

Trademarks, Contracts, and Sugar

From time immemorial, it has been a habit of Americans to use short or abbreviated synonyms, sometimes called nicknames, for persons or branded products for which they form an attachment or affection. Thus, we have Bill for William, Joe for Joseph, Chevy for Chevrolet, Lucky for Lucky Strike, etc.

The trademark "Coca-Cola" did not escape this custom. Soon after it began to achieve success in the market place, the phrase "Give me a Coke" came into wide usage. Of course, Coca-Cola was meant and soda clerks and vendors of the bottled product invariably responded accordingly.

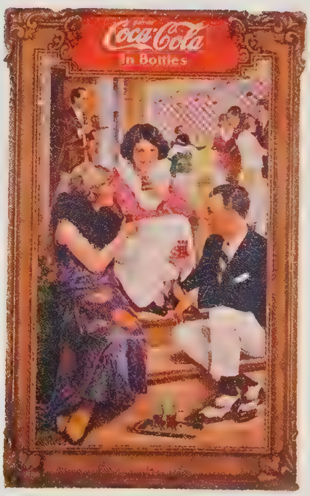
Fearing dilution of its trademark and possible confusion among consumers and dealers, the Company, during the years prior to World War I, sought to discourage the custom. Admonitions in advertising such as "Ask for it by full name—Nicknames encourage substitution," were resorted to without avail. The custom was firmly entrenched and calls for "Coke" became ever more numerous.

Whereupon, the Company fell silent and adopted the classic "if you can't lick 'em, join 'em" policy. Imitators of the trademark "Coca-Cola" then began to imitate the abbreviated trademark. Most brazen of all was a firm styled "Koke Company of America." Harold Hirsch and his associated attorneys for The Coca-Cola Company decided to give battle.

For approximately a decade, the legal artillery blazed and echoed in the courts. The Coca-Cola Company charged infringement of its trademark and unfair competition. The decision, by the United States District Court of Arizona, upheld the plaintiff. It was reversed by the Circuit Court of Appeals. Hirsch then took the case to the Supreme Court of the United States. In one of the few trademark cases decided by the Supreme Court up to that time, The Coca-Cola Company prevailed. The decision was handed down at the October 1920 term. It was a resounding victory in which the trademark "Coca-Cola" and its abbreviated mark "Coke" were upheld.

Mr. Justice Oliver Wendell Homes, in

A 1922 ad piece pictured the active American girl in all seasons.



Entertainment and sociability—with Coca-Cola as the catalyst—was depicted in the 1923 display piece.

Syrup was distributed in red wooden kegs and barrels between 1900 and 1940.

delivering the opinion of the court, stated:

"The name now characterizes a beverage to be had at almost any soda fountain.

"It means a single thing coming from a single source and well known to the community . . .

"In other words Coca-Cola probably means to most persons the plantiff's familiar product to be had everywhere, rather than a compound of particular substances.

"We are dealing with a popular drink, not with a medicine . . . ."

In the Decree handed down by the United States District Court for the District of Arizona, in conformity with the mandate of the United States Supreme Court, Judge William H. Sawtelle held:

(1) That the word Coca-Cola is a valid trademark.

(2) That the plaintiff is the owner of and alone entitled to use the trademark Coca-Cola and that its goods alone can lawfully be sold under that name.

(3) That the word "Koke" is an abbreviation of the word "Coca-Cola" and is used by the public and by purchasers in designating plaintiff's product "Coca-Cola."

(4) That the defendant, The Koke Company of America . . . did not adopt or make use of the name "Koke" until the year 1909, and that they have had and have no right to its use.

(5) That the word "Koke" was adopted and used by the defendants and their predecessors with the deliberate purpose of representing their goods to be the product and manufacture of The Coca-Cola Company.

The decision was one of the most significant in the history of trademarks. It not only insured the validity of Coca-Cola but gave sanction from the highest court in the land that when Coke was used as a mark for a soft drink it meant Coca-Cola and nothing else.

During the latter stages of the trademark litigation, another thorny problem was also settled through the courts. It initially turned on the price of Coca-Cola syrup to Bottlers.

The price and availability of sugar had always been a matter of basic importance to The Coca-Cola Company.

The matter came to a head during the First World War. In 1918, the government asked manufacturers using vital materials to reduce output. In the case of sugar, the reduction amounted to 50 per cent.

The war ended before restrictions worked any great hardship on the Company and its bottlers. But it disrupted the sugar market.

During the early months of the war, sugar was selling for between seven and eight cents a pound. By late 1919, the year the Candlers sold to the newly formed Delaware corporation, sugar had soared to 22 cents per pound. In 1920, it rose to 28 cents, four times the average pre-war price.

Saddled with a contract which called for delivery of Bottler's syrup at a fixed price, irrespective of the price of sugar, the new owners of the business were faced with obvious difficulties.

Efforts to renegotiate the price of Bottler's syrup, made from the inflationary priced sugar, proved fruitless. Accordingly, the Company sought to terminate the Bottler contracts, while simultaneously offering to negotiate new contracts. The Bottlers went into court, first in Atlanta, and then in the Federal District Court of Delaware, contending that the Company had put them on notice that the 1899 contract was not perpetual, but was subject to termination at will by either party on reasonable notice. There had been a difference of opinion on this point between B. F. Thomas and J. B. Whitehead shortly after the granting of the original contract of 1899.

The suit was hard fought. The very legality of the Bottler contracts was placed in issue under state and federal antitrust laws, and under the common law, in addition to the question of whether or not the Bottler contracts were perpetual. Fortunately, the matter had a happy ending. In 1921, the conflict was resolved by a compromise, following a suggestion by the United States Circuit Court of Appeals for the Third Circuit, during oral argument of the appeal. On October 5, a decree was entered by the Federal Court on consent of the Company, the Bottlers and the Parent Bottlers. This decree embodied a new form of contract that granted territorial bottling rights, provided that the Company was not to permit others to sell within such territories, declared the contracts perpetual, obligated the Bottlers to make the necessary investments to develop their territories, and established a price for sugar that was fixed but subject to variation on certain objective criteria.

Peace and goodwill were further cemented in 1921 when The Coca-Cola Company held the first convention in Atlanta for all Bottlers.

Displays at point of sale promoted the carton as an easy way to take Coca-Cola home.

Artist John Newton Howitt illustrated a 1923 poster.

The 6-bottle carton, first of its kind, was introduced in 1923. It helped to sell more Coke for home use.

Thirst Knows No Season

Back in 1888, Asa G. Candler had saved Coca-Cola, then in its infancy, from oblivion. In 1920, another man of the hour appeared.

Harrison Jones was born at Marion, Virginia, in 1887 and brought to Atlanta as a boy in 1898. After graduating from the University of Georgia, he earned a law degree at the University of Michigan. He was admitted to the bar in 1910 and began practice in Atlanta.

Later, he became associated with Candler, Thomson and Hirsch and was thus exposed to legal matters concerning their client, The Coca-Cola Company. Young Mr. Jones became adept in handling such matters and performed yeoman service in connection with legal details concerning the 1919 sale. He was invited to join the Company, and in 1920, moved from the Candler Building to its North Avenue headquarters.

Jones soon found his niche. Sales and Bottler relations became his forte, and before long he was elected vice-president of the Company in charge of sales. In this capacity he carried on with vigor. With Bottlers he soon established great rapport. He talked their language. For a quarter of a century, the high point of every Bottlers' Convention was a final speech—an inspirational address by Harrison Jones. Standing ovations frequently followed.

Early in his career with The Coca-Cola Company, Harrison Jones became identified with a merchandising innovation destined to transform an infant home market for Coca-Cola in bottles into the largest segment of all the various markets for the product.

Jones did not invent the six-bottle carton. It is not certain who did. However, initial research leading to its use began in 1922 and, in addition to Jones, involved the New Orleans Bottler, A. B. Freeman, and A. C. Johnson, a long-time employee of the Company.

Freeman was trying to develop a home market and needed something lighter and more convenient than the 24-bottle wooden case; Johnson did much of the technical research involved in the creation of the carton, and Jones gave it the breath of life. It was he who described the carton as "a home package with a handle of invitation."

At any rate, the first carton, made of buff-colored cardboard, was manufactured in 1923 by the Empire Printing & Box Company in Atlanta, of which firm Joseph Hirsch, a brother of Harold, was president. The package was field-tested the same year by several Bottlers, notably Mr. Freeman; though it was not until a few years later, during the Woodruff regime, following the election of R. W. Woodruff as president of The Coca-Cola Company, that it became a major factor in the marketing of Coke.

While the carton was in the development stage in 1922, the potent advertising slogan "Thirst knows no season," first appeared in four-color, full-page magazine copy. Artwork featured a snow scene, a pretty girl on skis, and a bottle and a glass of Coke, side by side. This type of advertising went far in bridging the old gap across the seasons when the sale of Coke was primarily a May to September activity. Less than a decade later, the Company was able to say that during the year 1930, a total of 66 million bottles of Coke was served in Montreal as against 69 million in New Orleans.

Between the end of World War I and 1923, advertising for Coca-Cola mirrored current problems and objectives.

In 1919, attention was turned to imitators with such slogans as "No imitation can satisfy" and "Its quality cannot be imitated." Also, distribution was featured with the phrase "Sold everywhere." The constant need of all humans to respond to thirst was pointed up by "Perfect answer to thirst" and "Thirst can't be denied." The infant home market was supported in 1922 with the suggestion "Great to have on ice at home, order a case." Meanwhile, the importance of the small-town market for Coca-Cola was featured in advertising. This campaign was based largely upon the attention-compelling cartoon technique.

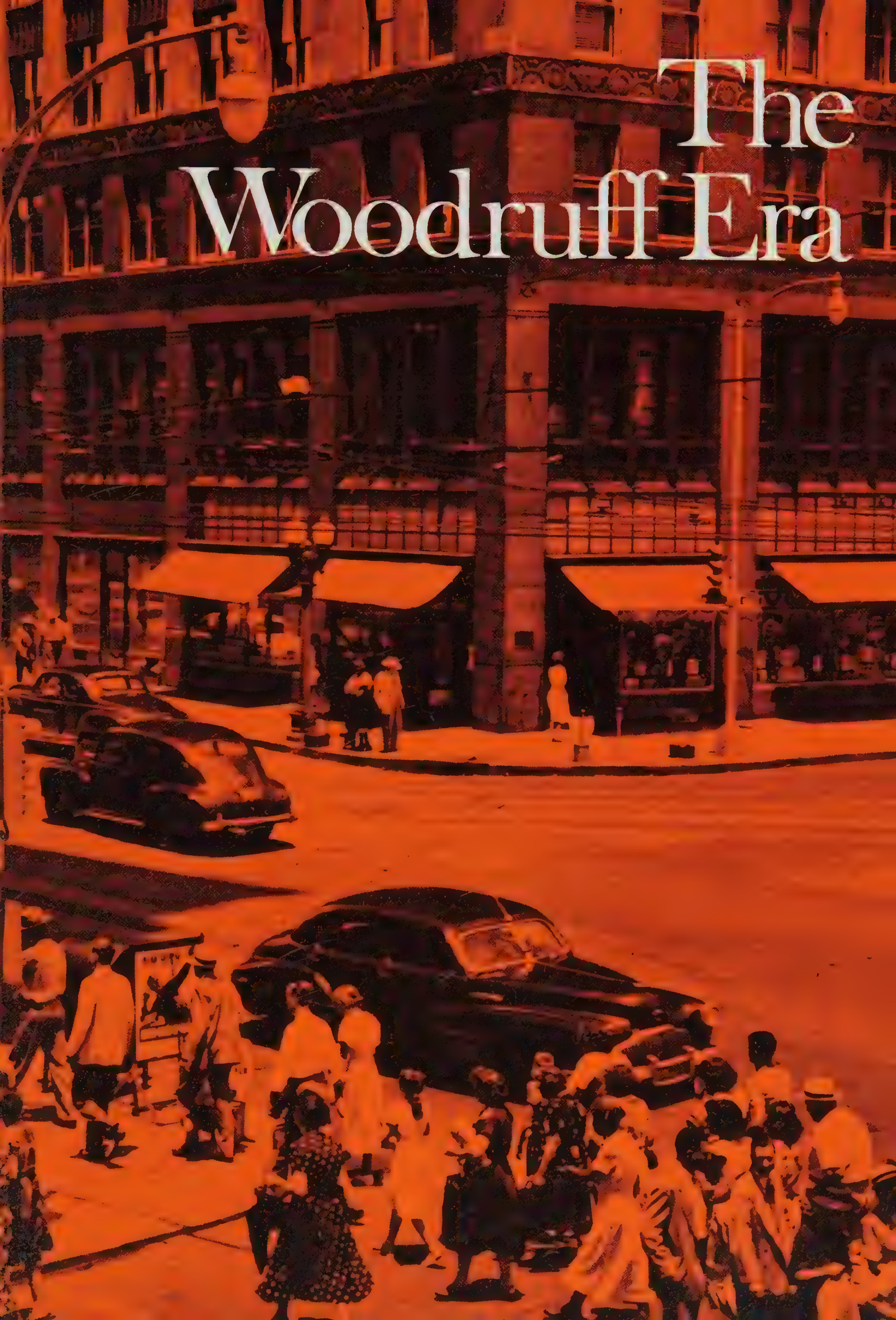
The stage was being set for a long period of remarkable growth for Coca-Cola — a period of growth wherein geographical concepts for its distribution were translated from national to global.

The glass, with the lip turned inward, held by the winsome model was the second design introduced.

A fur-clad miss put across the year-round thirst message in a 1924 winter ad from "The Ladies Home Journal."

"Girl at Party" was a 1925 serving tray subject.

The Woodruff Era



Part Five

The Right Man at the Right Time

"No man possesses a genius so commanding that he can attain eminence, unless a subject suited to his talents should present itself, and an opportunity occurs for this development."

While Pliny the Younger spoke these words in the first century of the Christian Era, they apply with unusual accuracy to a twentieth century association between a man and a corporation, Robert W. Woodruff and The Coca-Cola Company.

Recovery from rationing during the First World War was rather rapid. Indeed, sales increased somewhat dramatically—from a low of 10,314,727 gallons in 1918 to 18,730,167 in 1919. The sugar market, however, remained uncertain. Sales of Coca-Cola dropped slightly in 1920, then precipitately in 1921 to 15,837,499 gallons and to 15,437,612 in 1922. The Company was suffering a bit also from ingrowing executives. It began to appear that Coca-Cola had, perhaps, passed its peak and that it might at last, have reached senescence. That it had not was due in large measure to the man who took over as president of the Company in April 1923. He was 33. Coca-Cola was 37.

Robert Winship Woodruff, named for his maternal grandfather, Robert Winship, a pioneer citizen of Atlanta, was born in 1889 at Columbus, Georgia, the eldest child of Ernest and Emily Winship Woodruff. He was brought to Atlanta in 1893, when his father cast his lot with the rapidly growing city. Robert Woodruff's formal education began at the Edgewood Avenue public school, near the family home in Inman Park. He then progressed through Boys' High, the recently organized Georgia Military Academy, now Woodward Academy, and Emory at Oxford. Never bookish, and impatient with schooling, Woodruff says that the only one he ever "finished" was G.M.A.

His first full-time employment was with The General Pipe and Foundry Company in Atlanta as an apprentice machinist at 60 cents a day. The following year, 1911, he became connected with The General Fire Extinguisher Company, first as stockroom clerk and then as city salesman, handling mill supplies. It was here that he became acquainted with an older employee of the same firm, J. M. Tull, later to become the founder of one of Atlanta's most reputable business houses. Joe Tull and Robert Woodruff remained warm friends until the former's death.

In late 1911, young Mr. Woodruff was offered and accepted the job of purchasing agent for the Atlantic Ice & Coal Company, a firm in which his father was a dominant figure. His pay, $150 per month, seemed adequate to support matrimony, so, on October 17, 1912, Robert Woodruff and Miss Nell Hodgson, of Athens, Georgia, were married.

The young groom of 1912 had been promised a raise. It failed to materialize, so he quit Atlantic Ice and accepted a job selling trucks locally for the White Motor Company, of Cleveland, Ohio. Here he began to hit his stride. Within a year he was Atlanta branch manager. While in this position, he established a strong banking beachhead. In 1916, he was elected to the Board of Directors of The Trust Company of Georgia. At age 27, he was one of the youngest men in the Bank's history to achieve this distinction. Except for an interruption during World War I, in which he served in The Motor Corps, his rise with the White Company continued. In 1922, he became vice-president and general manager of the Company in Cleveland, the position he held when he resigned in 1923 to head The Coca-Cola Company.

Robert Winship Woodruff became president of The Coca-Cola Company in 1923.

1925 cardboard cutout was used for soda fountain window display, backbar, and counter.

Knickerbockers and flappers themed the "Roaring 20's" serving tray issued in 1926.

While Mr. Woodruff's presidency of The Coca-Cola Company began on April 28, he had entered its official echelon on February 26, 1923, when he was elected to its Board of Directors. At this time the Board was composed of the following front-rank business men:

William C. Bradley, of Columbus, Georgia, Chairman: J. Bulow Campbell, Charles H. Candler, William C. D'Arcy, St. Louis; Samuel C. Dobbs, Thomas K. Glenn, Charles Hayden, New York City; E. F. Hutton, New York; James H. Nunnally, Eugene W. Stetson, New York; D. A. Turner, Columbus, Georgia; Walter C. White, Cleveland, Ohio; William A. Winburn, Savannah, Georgia, and Ernest Woodruff.

In the first of several articles featuring The Coca-Cola Company to appear in *Fortune*, the publication, comparing Harrison Jones and Robert W. Woodruff, said in 1931, concerning the latter:

"Very different is Robert Woodruff, though equally cosmopolitan. Where Mr. Jones forever appears about to hit something with an ax (which he never does), Mr. Woodruff forever appears to be about to go to sleep (which he seldom does). He is another large man, slow-spoken (though with no southern drawl and hardly a southern accent). A characteristic photograph would snap him in the act of looking out the window while filling a pipe (he later switched to cigars). Nothing disturbs Mr. Woodruff (except the accusation of being a rich man's son) and nothing is more evident than his ability to stand on his own feet quite aside from the question as to where father Ernest Woodruff's feet may be located. Atlantans not in the employ of The Coca-Cola Company will inform you that the merger which produced The First National Bank, then Atlanta's largest financial institution (1929), was a project which the elder Mr. Woodruff cherished for many years; which the younger Mr. Woodruff put through with a maximum of rapidity and a minimum of friction . . ."

Several years later the same publication, in another article, published in 1938, said of Mr. Woodruff:

". . . Big, square-shouldered, and square-faced, he looks younger at forty-nine than many a man of forty, and occasional hunting and fishing trips keep him fit to stand up under the grueling travel schedule he imposes on himself. He is unquestioned boss and prime mover of The Coca-Cola Company, but he rules by suggestion and personality rather than by fiat. For he is the foremost practitioner of his own maxim for good public relations in business. 'Make everyone who is working for a company glad to be in the job he has and the public relations problem of business would cease to exist.'

"Once he had taken over the helm of The Coca-Cola Company, Bob Woodruff turned his burly back on syrup plants and sugar and faced in the direction that all good Coca-Cola men are always facing, toward the market. But he viewed the market in a manner quite different from that assumed by most businessmen who have something to sell. He saw no need to argue the merits of Coca-Cola or to urge people to drink more of it. It would be enough to see that Coca-Cola was made uniformly and up to standard by Bottlers and fountain men and that people had plenty of chance to buy it. He would only remind them that it was there. Indeed, he conceived of the business of Coca-Cola as a public utility.

"He could not, however, own the vast distribution system the business requires, so he conceived it as his job to interest the hundreds of thousands who did own it in the great public enterprise of putting Coca-Cola within easy reach of all. And to secure this interest, he did not rely primarily upon the power of advertising or the pressure of selling, but he made his bid on the profit motive. He explained to this 'industry' that the selling of Coca-Cola could make more money for them, and he proceeded to show them how."

In Mr. Woodruff's first letter to his stockholders, in 1924, this expression of his credo appears:

"All of our equipment might be replaced more easily than could our good will . . . intrinsic worth of the product, good service in distribution, and vision for the future in the management are the safeguards of this good will."

Insofar as the business and the future of The Cola-Cola Company were concerned, Robert W. Woodruff was, in truth, the right man at the right time.

Training–Service–Quality Control

Three of the principal columns supporting the new edifice President Woodruff envisioned for The Coca-Cola Company were (1) adequate training for personnel, particularly those dealing with the public, (2) service to the dealer and through the dealer to the consumer, and (3) precise standards for the manufacture of the product, usually referred to as "Quality Control."

A 1927 magazine advertisement emphasized the purity of Coca-Cola.

The bellhop delivering one of six million became an ad classic in 1925.


Mr. Woodruff's emphasis on quality control resulted in a laboratory fleet in 1941.

For the new president, action usually followed close upon the heels of concept. Indeed, based at least partly upon his own successful career as a salesman, Woodruff soon developed a warm spot in his heart for fountain sales personnel. For many years, the fountain sales effort represented the Company's only sales effort.

During the early years of his stewardship, Mr. Woodruff inaugurated a "Quality Drink" program. As an adjunct thereto, a training school for fountain field personnel was organized in 1926. The school was reorganized in 1927 by a deft maneuver. Those concerned never forgot it.

Woodruff had decided to turn his "salesmen" into "servicemen"; to accent the improvement of fountain operations rather than the taking of orders. So he assembled the sales force, and announced that since there were not going to be any more salesmen they no longer had a job. He added, however, that a new department would be established, concerning which he would be glad to talk to them the following day.

The salesmen returned to homes or hotels and uneasily awaited developments. On the following morning, Mr. Woodruff explained his idea of a service staff, and invited the salesmen to submit applications for positions on it. All did, but no serviceman received the same territory in which he had previously functioned as salesman. The psychological result of the temporary dismissal was far more potent than would have been a mere announcement of a change in title.

In his Annual Report for 1928 President Woodruff made some significant statements:

"There are certain general developments of the last five years which bear rather vitally upon our future operations. It has been possible to establish a very reliable production control. . . . Likewise the distribution system has been further perfected, resulting in substantial savings . . . . More important has been the creation of a sound basis on which to build an effective selling organization and the formulation of a definite advertising policy.

"An important step in the strengthening of our field merchandising effort was taken by abolishing the fountain field sales force and substituting therefor a staff of trained service men. This move contemplates the perfecting of the service of our product by the retail dealer and the further influencing of the dealer to place a more definite selling effort behind our product. . . ."

Through the years since then, the Fountain Sales Training School has functioned steadily under the direction of a succession of able managers and aides. Hundreds of young men have been sent to the field, dedicated to helping every dealer serve a perfectly mixed drink of Coca-Cola, insuring uniformity of quality, and thus attracting more customers and making more profit.

If training in salesmanship and associated activities stimulated fountain sales, why not bottle sales? While it is true that conventions of Bottlers had been held with a fair degree of regularity since the Atlanta meeting of 1909, no specific selling aids other than equipment, which will be treated later, had been developed. True, total gallonage of Coca-Cola sold in bottles exceeded total gallonage sold through fountain outlets for the first time in 1928. The process had taken 29 years but it was soon to be expedited.

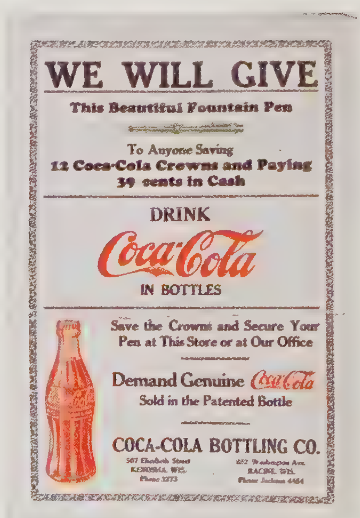
The concept of a Bottle Sales Department, to assist Coca-Cola Bottlers with sales and marketing ideas and materials, took tangible form in 1932 when a small group of promotion-minded men in the

Advertising Department of The Coca-Cola Company were delegated to spend full time on Bottler promotions. During the following year, the first of a long series of visual merchandising programs for Bottlers and their salesmen was produced. Titled "Lend Us Your Eyes and Ears," it was put to wide use. Late in 1933, the operation was given definitive status with the organization of The Coca-Cola Bottling Sales Company, a direct ancestor of the present Bottler Operations Department.

It was not until the final year of World War II, 1945, that the holding of training schools in Atlanta for bottling plant personnel was inaugurated. It was a school for the training of bottling plant production personnel. The activity was successful, and was followed in September 1947 by the first of a continuing series of management conferences for bottling plant owners and managers. In addition, seminars are now held on the subject of truck fleet management. It can be said that training for bottling plant personnel is now a complete package including not only the man in the front office, but the men on production lines and sales routes.

Meticulous care had always been observed in the manufacture of Coca-Cola from Dr. Pemberton's day forward. However, the third column in the edifice President Woodruff sought to build, shortly

Signs of the times were reflected in this cut-out display.



A Wisconsin Bottler offered a premium in a 1927 ad.

A 1927 ad from "The Saturday Evening Post" carried one of many famous slogans.

after he took office in 1923, envisioned even more care. It involved the creation of a separate department, eventually to be known as Quality Control. The new department should have no responsibilities other than the maintenance of manufacturing standards and should be headed by a senior officer, preferably a trained chemist, who would report directly to the president.

Mr. Woodruff visualized and put into operation a broad concept of Quality Control which went far beyond the inplant testing of ingredients and the finished product and was, in fact, one of the foundation stones upon which the overseas business was built.

Quality Control meant, overseas and at home, not only treating the water and sugar where the local supply could not meet the Company's rigid specifications, but also working directly with the suppliers of sugar, carbonic acid gas, and other ingredients to help them improve their products. This help was extended to crown and bottle manufacturers; it meant going into the plants of those and other suppliers, helping them to improve their methods and processes. In many cases, it went right back to the sugar cane and other agricultural products which—when processed—became parts of the overall ingredient complex of Coca-Cola.

All this is taken for granted now; but when first begun under Woodruff's direction, it was a monumental achievement.

In 1923, the right man was at hand. About a year following the 1919 purchase of The Coca-Cola Company by the Woodruff group, the Company acquired the Crystal Carbonic Laboratory, manufacturing chemists, an old Atlanta firm engaged chiefly in making carbonic acid gas. Its prime mover, scientifically, was a nationally known chemist, William Pratt Heath. He was the first person outside of the old Candler group to become a vice-president of The Coca-Cola Company, having taken office in early 1920.

Dr. Heath was a great-grandson of Roswell King, founder of the town of Roswell, Georgia, where Dr. Heath was born. He came to Atlanta as a boy and was graduated from Georgia Tech as a chemist. Much of his early experience as a chemist was in the old N.P. Pratt Laboratory, operated for many years in Atlanta by his two uncles.

So it happened that this able scientist was at hand to give substance and direction to President Woodruff's quality control objectives. He served the Company continuously until his retirement in 1949. Following his death in 1950, The Coca-Cola Company established the W. P. Heath Fellowship in Chemistry at Georgia Tech.

Dr. Heath not only built up a fine quality control organization, but his successors, trained scientists all, have expanded and modernized the activity. No Coca-Cola syrup leaves any of the Company's factories until a sample from every batch, as units of manufacture are called, is certified by the branch chemist at each plant. All to the end that thirsty customers, wherever they may be on the face of the globe, shall receive a uniform, quality drink.

Advertising Landmarks

One of the best moves the D'Arcy Advertising Company ever made, insofar as The

Coca-Cola Company account was concerned, was the employment in 1919 of 31-year old Archie Laney Lee, a former reporter for the old *Atlanta Georgian.*

The significance of the move lay in the fact that Lee and Robert Woodruff had been personal friends for some time before either began working for Coca-Cola. Their association in business intensified their friendship, which in turn made possible a mutual understanding and regard not often found in business relationships. The two men stimulated each other to an unusual degree—with pronounced effect upon advertising for Coca-Cola for a quarter of a century.

Woodruff foresaw that the drink in bottles offered a vast potential for future growth since the bottle could go anywhere while the fountain had to wait for people to come to it. Up to that time, the business had been regarded mainly as a soda fountain business, and the advertising had been designed accordingly.

Therefore, one of the first policies instituted by President Woodruff called for greatly increased advertising emphasis on Coca-Cola in bottles. By 1928,this policy was paying off handsomely. In the five years between 1923 and 1928,fountain sales grew a healthy 20 percent, but bottle sales in the same period increased 65 percent to take a lead in volume sales through the years since.

Advertising emphasis was on Coca-Cola in bottles, and bottle sales 1923-28 went up 65%.

1927-1928 bottler advertising pointed to over 7 million drinks daily.

A 1927 photo showed The Detroit, Michigan Coca-Cola Bottling Company plant, advertising and trucks.

In considering ways to promote the business, Woodruff and Lee developed a distinct philosophy. They held that the job of advertising for Coca-Cola was to make the product an inherent part of people's lives and habits—a means of contributing to their pleasure, their popularity and their friendliness. They wanted to promote Coke not just as a soft drink or even as the leading soft drink. They wanted to promote it as something bigger than just the answer to thirst. They wanted to make it a thing apart—to sell it to all classes of society as one of the pleasant things of life, distinctive and acceptable to people everywhere.

Advertising for Coca-Cola soon began to reflect this thinking. In 1924, the original concept of the famous slogan "The pause that refreshes" took form in the phrase, "Refresh yourself." During the same year, the close association of Coca-Cola and thirst was deftly brought out with the copyline "Thirst is a touch of nature that makes the whole world kin."

A landmark was established in 1925 by the institution of planned nationwide use of 24-sheet posters (billboards) by local Bottlers under a cooperative plan with The Coca-Cola Company whereby cost of the space was shared.

One of the earlier results of the collaboration of the Messrs. Woodruff and Lee, which saw the light in 1926, was the slogan "It had to be good to get where it is"—designed to help speed the day when Coca-Cola would enjoy complete social acceptance.

Commercial radio broadcasting was five years old in 1927 when it was first used as a medium for advertising Coca-Cola. For the next quarter century, until largely replaced by television, programs on behalf of Coke featured music, vocal and instrumental, with occasional ventures into the realm of sports and drama. Most of these programs were designed for relaxed listening and wholesome enjoyment in keeping with the character of Coca-Cola itself.

The word "pause," used in connection with Coca-Cola, intrigued Archie Lee. In 1928, several advertisements made use of it. Then, in early 1929, appeared a full-page ad in the *Saturday Evening Post*, picturing three modish women at a soda fountain enjoying Coke under the byline, "All think about the pause that refreshes." Later in the year the last four words of the phrase were used alone and became one of the great classic expressions of American advertising.

It was also in 1929 that the first of many big-city electrical signs or spectaculars advertising Coca-Cola was put to use. This initial effort helped to illuminate and animate Times Square in New York City.

The depression years of the early and middle 1930's produced some significant advertising and marketing landmarks for Coke. Mr. Lee launched Santa Claus, depicted by the noted artist Haddon Sundblom, as an annual tradition. In 1935, he employed N. C. Wyeth, the noted illustrator, to picture a bottle of Coca-Cola in a setting of swirling snow as a poster and magazine subject for midsummer. Such illustrations, featuring bottles and glasses of Coke amid snow and ice became standard for July.

As the depression hit bottom in 1932 and 1933, the Company began to couple food and Coca-Cola in clear and unmistakable terms. The phrase "Natural partner of good things to eat" was given much currency, always linked with pleasant pictorial situations involving home entertaining or the enjoyment of a snack at a soda fountain.

During 1934, the red cooler for Coke was first introduced in national advertising and the red circle or bull's eye took a bow as a regular advertising feature. The service station, as an important outlet for Coca-Cola, was first used pictorially in 1937.

While the 6-bottle carton had been pioneered in 1923, it was not until 1938, after the introduction of the open-top model, that the package was featured in national advertising as an important channel for Coca-Cola to the home. The principal carton copy-line in 1938 was "So easy to take home."

Outdoor advertising for Coca-Cola gained new distinction in 1939 through the introduction of the first custom-built point-of-sale material and of a Bottlers' cooperative newspaper campaign. The latter achieved nationally unified, but locally oriented, advertising through the daily press, the cost being shared between Bottlers and The Coca-Cola Company.

Nineteen-forty witnessed the most successful consumer public relations campaign in Company history. It was inaugurated when the advertising department, then under the direction of Price Gilbert, Jr., published the first of a series of three

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A park bench couple and friend pause for refreshment in a 1928 window display.

"The Pause that Refreshes" became a classic in American advertising.

1930 calendar art.

The first official cooler for Coca-Cola was introduced at the 1929 Bottlers Convention in Indianapolis.

colorful booklets on the subject of "Flower Arranging In the Home." Nearly 5,000,000 of these prestige builders for Coca-Cola were distributed by the Bottlers and The Company during the next three years. More than 30 years later many requests for the series still are being received.

Contemporaneously with the flower books, an institutional motion picture, "Refreshment Through The Years" was released. Shown by both Company and Bottlers to literally millions of persons, it helped materially to sustain a favorable public image for Coke.

It has been noted that the important and significant trademark "Coke" made its first appearance in national advertising during 1941. The usage was stepped up in 1942 and was highlighted by the introduction of "The Little Sprite," a pixie-like figure conceived by Archie Lee and delineated by Artist Haddon Sundblom. Lee saw in the trade figure, The Little Sprite, an opportunity to emphasize the synonymity of Coca-Cola and Coke.

With World War II came a change of pace. Armed Forces personnel going into service, on duty and on leave, became dominant features of advertising for Coca-Cola during 1943, 1944, and 1945. After August of the latter year, artwork featured happy returning service personnel.

All advertising copy and art returned to peacetime scenes in 1946, with sociability and hospitality emphasized. In 1948 the universality of Coca-Cola fostered by wartime distribution efforts, was proclaimed with the statement, repeated millions of times since:

"Whoever you are, whatever you do
Wherever you may be,
When you think of refreshment,
Think of Coca-Cola.
For Coca-Cola makes any pause, the
pause that refreshes; and ice-cold
Coca-Cola is everywhere."

Beginning with the year 1948, television began its vast and continuing impact upon the world. Starting with special network shows on Thanksgiving and Christmas Days in 1950, the medium, through recent years, has absorbed an ever increasing share of The Coca-Cola Company's advertising budget.

Merchandising Magic

In the business of selling Coca-Cola the term merchandising has been defined to cover those activities which push the product toward the consumer as contrasted with advertising, the function of which is to pull the consumer toward the product.

Merchandising activities designed to propel the product toward the purchaser to further the sale of Coca-Cola have been numerous. They include sales training, dealer meetings, outlet identification, display practices, handbooks, premiums, special promotions, dealer surveys, route management, etc.

But the most visible of merchandising tools fall within the realm of containers and dispensers. Bottles and cartons have been introduced. Coolers were about to achieve a prominent spot on the stage. Long ago, it became apparent that the final ingredient to make Coca-Cola truly delicious and refreshing lay just beyond the control of the bottler. The final ingredient was and is refrigeration, and it must be supplied by the outlet.

Even so, determined men in the bottling business pondered the problem. In the early years, bottled beverages were sold from wooden ice boxes in the retail outlets. Most had sliding lids and stood out of reach behind a counter. Their primary function was to refrigerate meat, fish, milk, butter and other perishables. The cooling of soft drinks was incidental. In the matter of display, they enjoyed a high degree of anonymity.

The first effort to provide refrigeration for Coke and, at the same time to achieve a modicum of display, occurred when an ingenious bottler or bottling plant employee sawed a syrup barrel in half to make two tubs for ice and bottles. The effort was effective. The idea caught on. Soon legs were added, then a lid. Not a thing of beauty, but the progenitor of today's mechanical masterpieces.

During the early and middle 1920's, ingenious manufacturers offered a variety of beverage coolers to the bottling industry. Most were cumbersome and relatively expensive. One of the most popular was Icy-O. Though priced at $90, Bottlers bought 4,790 in 1928.

In that year, the management of The Coca-Cola Company decided that an inexpensive but attractive cooler would have to be developed. One of the Company's younger employees, 25-year old John C. Staton, was assigned the job of

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A reigning movie queen, Jean Harlow, appeared on display cutouts.

Another star of the screen, Lupe Velez was shown drinking Coca-Cola.

Artist Fred Mizen painted the first Santa Claus in a magazine ad for Coca-Cola in 1930.

A 1931 hanging sign signalled "tingling refreshment."

developing a standard, open-top cooler for the predominant route, or cold-bottle market. Staton, a 1924 engineering graduate of Georgia Tech and a college football player of great renown, was later to become a senior officer of the Company. He set about his 1928 assignment with zeal and, in 1929, came up with a winner. His creation was manufactured by Glascock Brothers of Muncie, Indiana. It was offered to Bottlers for $12.50. Thousands were sold throughout the country. They enabled Coke,in bottles,to move from the back room and the meat case to the front door of countless retail outlets.

During the following year, 1930, the first of a long line of mechanically refrigerated coolers was offered to Bottlers, another forward step in improved serving of the bottled product.

Two years later, while the country generally was struggling in the slough of economic depression, initial research was being done on the development of coin-control vending machines. This research was motivated by another far-reaching marketing concept for Coca-Cola—an attack upon the "At Work Market"—a determination to bring Coke into the factory, office and institution so that all might "work refreshed." First models were put into the field in 1935.

Meanwhile,the Fountain Sales Department continued their active merchandising efforts. Coincident with the appearance of the Glascock cooler for the bottled product, the present distinctive design was adopted as standard in soda fountain glasses. They soon became standard equipment at thousands of fountains.

A persistent problem at the soda fountain, insofar as the serving of a uniform drink was concerned, lay in human fallibility. It simply was not possible to get all soda dispensers to achieve ideal mix and refrigeration.

So, in 1932, the automatic fountain dispenser was developed by The Coca-Cola Company in conjunction with the Dole Valve Company of Chicago, and successfully introduced at the Century of Progress Exposition in that city in 1933. With modifications and improvements during the next few years, the dispenser was in use nationally by 1937. It represented a long step forward in the serving of a uniform, properly cooled product at the fountain.

Before the decade was out,the Fountain Department, in 1939, began national syrup distribution in gallon glass jugs as a replacement for the time-honored red wooden keg.

Corporate Milestones

During the 16-year span from 1923 to 1939 the two top corporate offices of The Coca-Cola Company were served by the same incumbents with a most salutary effect upon the business.

William Clark Bradley, the Columbus, Georgia industrialist, made a dedicated Board chairman. Indeed, his weekly morning staff meetings became legendary. Every Monday for years it was his custom to drive up to Atlanta, hold the meeting and return the same day, long before multi-lane expressways were even on the drawing boards. During these same years Robert W. Woodruff functioned continuously, imaginatively and forcefully as president.

Then, between 1939 and 1954, there were changes in key personnel to some extent, though there was never any doubt as to the identity of the captain of the corporate ship. The post belonged unequivocally to R. W. Woodruff.

Mr. Bradley retired in 1939 and President Woodruff assumed the dual titles of Board chairman and Executive Committee chairman. The man chosen to fill the presidental chair was not a salesman nor was he an expert in the fields of advertising and marketing. Indeed nothing unnerved him more than the prospect of having to make a speech. But he was thoroughly at home in the realm of corporate finance.

Arthur A. Acklin was born on Buck Creek in Carroll County, Georgia, in 1893 and when a young man became deputy collector of internal revenue in Atlanta. His expertise in the handling of tax matters came to Mr. Woodruff's notice and, in 1925, he was invited to join The Coca-Cola Company. He functioned in various capacities, including two years as president of The Coca-Cola Export Corporation, immediately preceding his election to the Company presidency. The twenty years of his tenure were arduous

Norman Rockwell was one of many renowned artists whose illustrations appeared on calendars through the years.

A 1934 serving tray spotlighted movie favorites Johnny Weismuller and Maureen O'Sullivan.

The "delicious and refreshing" theme continued in a 1932 sign.

and included the trying years of World War II. Illness forced a temporary retirement in mid-1945 shortly before the world-wide conflict ended.

When President Acklin took a leave of absence because of illness, Chairman Woodruff reassumed the Company presidency, retaining also the chairmanship of the Executive Committee. Woodruff had been succeeded in the Board chairmanship in 1942 by Harrison Jones, who was a pillar of strength for the industry during the war years.

The Company, but fortunately not the business, lost one of its outstanding executives in 1941, when DeSales Harrison accepted an offer from George T. Hunter to become president of The Coca-Cola Bottling Company (Thomas), Inc., in Chattanooga. Harrison, at the time, was serving The Coca-Cola Company as vice-president and assistant to President A. A. Acklin. He was a native Atlantan and cast his lot with the Company in 1925 as a member of its Advertising Department, then under the direction of Turner Jones, now a Coca-Cola bottling plant owner in Maine. Harrison later switched to the Fountain Sales Department and, in 1934, became head of the operation as vice-president. *Fortune* described him in 1938 as "brisk and blue-eyed." He was also distinguished by a handsomely premature head of white hair, a ruddy complexion and a marked warmth of personality. Until the end of his life, at 73, in February 1973, he played a lively game of tennis and served The Coca-Cola Bottling Company (Thomas), Inc., as chairman of its Advisory Committee.

Robert W. Woodruff continued to serve as Company president until May 6, 1946, when the first incumbent not a native Georgian succeeded to the post. William J. Hobbs, born in 1904, was a native of Wilmington, North Carolina. He had been employed by the Company during the war as a member of its Legal Department, and was, in fact, the first lawyer to serve as president. His eight years in office covered part of the difficult post-war period of Company operations.

On August 2, 1952, Hobbs resigned and was succeeded as president by a Company veteran of nearly 20 years service. Hammond Burke Nicholson was born in 1895 in the town of Richland, Georgia. After several years as an educator and three as a practicing attorney in Atlanta, he became an official of the National NuGrape Company. He thus had some experience in the soft drink business when he cast his lot with The Coca-Cola Company in 1933. He served the Company in various capacities in Canada and Europe before succeeding to the presidency.

Nicholson was soft spoken, though a polished speaker of cosmopolitan bearing, reminding one vaguely of Anthony Eden. It was during his term of office that much of the research and test marketing was accomplished which led to diversification to various sizes and types of packages and to new soft drink products.

During 1952, the year H. B. Nicholson became Company president, Harrison Jones, Board chairman for a decade and a key member of the official family for 32 years, retired. He remained a prominent and active citizen of Atlanta until his death in 1967 at age eighty. R. W. Woodruff reassumed the Board chairmanship in an "acting" capacity.

Two important moves made by President Woodruff not long after taking office in 1923 were the unification of the Canadian business and the setting up of a statistical department at the Company headquarters at Atlanta.

Canada, in 1900, had been the recipient

of the first shipment of Coca-Cola syrup outside of the continental United States. By 1905 the business had grown to the extent that a syrup factory was opened in Toronto which began production in early 1906. The first bottling plants were Company-owned but these soon were joined by independent plants licensed to bottle the product. Sales soared despite the vigors of a northern climate and Canada became the first herald of the cogent advertising slogan, "Thirst Knows no Season."

In 1924 Canadian operations were unified into one cohesive structure under the name of The Coca-Cola Company of Canada, Limited, and the head office, originally in Winnipeg, was moved to Toronto. William M. Brownlee, president of the Cable Piano Company in Atlanta, was named managing director. After two years, he assumed official duties with The Coca-Cola Company and was succeeded in 1926 by Eugene Kelly, a native of Atlanta. During his long tenure of 26 years, to The Coca-Cola Company, the names of Gene Kelly and Canada became almost synonymous. Upon Kelly's retirement in 1952, Lee Talley succeeded him. In 1954, when Talley became president

Ice-cold product on the premises was a reality with the aid of coolers.

Norman Rockwell's nostalgic fishing boy with his dog was the 1935 calendar subject.

The 1936 calendar illustrated by N. C. Wyeth observed the 50th anniversary of Coca-Cola.

A Santa who gets tired and thirsty was created by Haddon Sundblom for 1935 Christmas magazines.

of the Export Corporation, Ralph E. Sewell was named managing director of Coca-Cola Ltd., the corporate name of the Canadian Company. In 1957 his title was changed to president. Sewell continues to serve as chairman of the Board though he was succeeded as president and chief executive officer in 1970 by George J. Leonidas.

Today Coke is bottled in a network of modern plants from Newfoundland to British Columbia. A large fountain business has also grown to serve food service and institutional markets. The unique geography of that great nation requires innovative delivery systems which include even dog sleds in some remote areas!

Early in his presidency Mr. Woodruff saw a need for better information concerning markets, sales, activity of competition and related subjects; in other words, another mirror for management in planning sales and marketing strategy. So, a modest department was set up, which, for a better name, was called "Statistical." It was headed by a young employee, Lewis M. Dugger, who also performed most of its functions. Dugger ran the operation for the next 36 years—until his death in 1959. The department proved its usefulness and grew in proportion. In 1950 it was renamed Market Research. Under Dugger's able successors, and aided by batteries of computers, it keeps abreast of all market trends affecting Coca-Cola, beverages in general, and related businesses. As such it is an invaluable adjunct, not only to management, but to all sales activities of the Company.

The house organ or company magazine, for at least half a century, has been considered by many large business organizations as a good tool for employee relations and better communication between all corporate levels. Back in 1909, J. J. Willard had established *The Coca-Cola Bottler,* a monthly publication designed to keep Bottlers informed of new developments in the business and the activities of other bottlers.

It was not until 1921, however, that The Coca-Cola Company published a monthly magazine. Called *The Friendly Hand,* it was designed primarily for fountain sales personnel. Soon after the advent of the Woodruff regime, *The Friendly Hand* was discontinued and a slick paper, four-color publication of smaller format made its bow in January, 1924. While it, too, was slanted to fountain sales, it was generously illustrated and carried much general news about the Company activities. After three decades, *The Red Barrel,* as it was called, gave way to *The Refresher,* first published in December, 1953. This publication continues as *Refresher USA,* dealing with Company activities in general and news of employees of Coca-Cola USA.

During the first three decades of Woodruff management, the Company became something of a pioneer in employee benefits. On October 15, 1926, President Woodruff announced a group insurance plan for Company employees. The policy, among the first of its type, provided life insurance for personnel of all ages without a medical examination. In 1939 group accident and sickness insurance was made available and, in 1948 a retirement plan was put into effect, with normal retirement at 65, or earlier if certain age and length of employment standards were met.

As sales and volume of production grew steadily during the 1930's and 1940's, additional manufacturing facilities were needed and provided. The Kearny, New Jersey and St. Louis syrup manufacturing plants were opened in 1938. They were followed by two additional installations located in San Francisco and Portland, Oregon in 1944.

A few growth statistics are in order. Total gallonage sales for the year 1922, the year before Robert Woodruff appeared on the scene, came to 15,437,612 gallons. After three decades of his stewardship, in 1953, gallon sales came to 151,178,982 for that year. It took 58 years for the Company to sell 1,000,000,000 gallons of Coca-Cola syrup, the historic milepost having been reached on July 10, 1911. The lapse of time between the first and second billionth gallon was much shorter. The second billion was achieved in nine years, on April 9, 1953. In later years, the gap between billion of gallons continued to narrow.

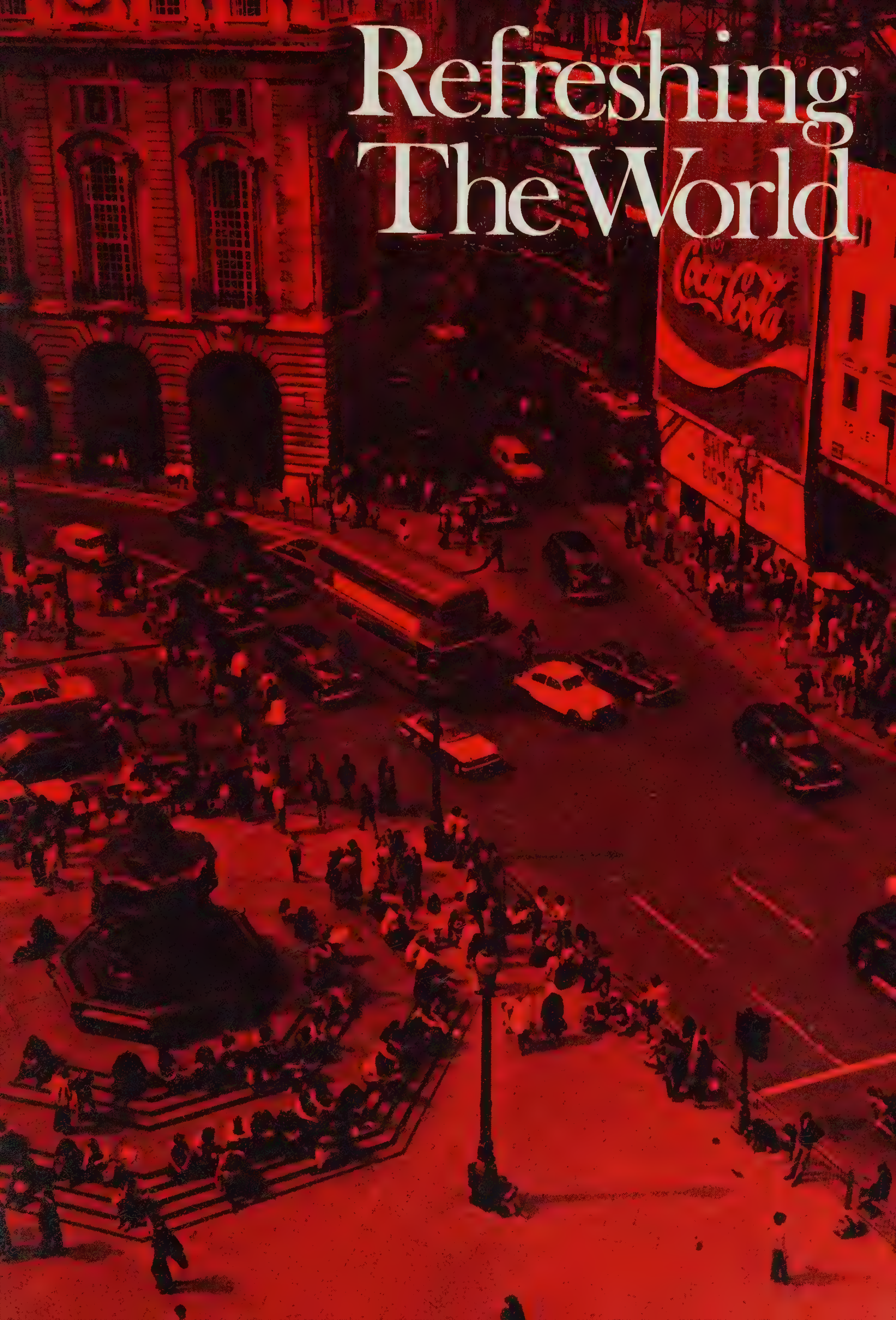
A 1939 easel back display features Coca-Cola with tasty food.

As with calendars, the pretty girl has been the most popular subject for metal trays.

The 1938 friendly policeman sign promoted safety as well as Coca-Cola.

A magazine ad reminded customers of 50 years of refreshing pauses.

Refreshing The World



Part Six

Looking Outward

Coca-Cola had first crossed the borders and shores of the United States at the turn of the century. But it was during "The Woodruff Era" that the business gained its greatest impetus for expansion around the world.

A history of the widening acceptance and impressive sales escalation of Coca-Cola worldwide really deserves a sizable book of its own. For by the mid-nineteen seventies more than half the Coca-Cola sold worldwide was being sold outside the United States.

This achievement was due to the dedication and single mindedness of many people, not least the Bottlers in more than 130 countries who, in unique partnership with personnel of The Coca-Cola Export Corporation around the world, had supreme and amply justified faith in Coca-Cola. From miscellaneous Export shipments of fountain syrup to Cuba, Mexico and Canada in the early days, the Bottlers of Coca-Cola, and other purveyors of the product today contribute to the achievement of larger and larger sales totals in their respective territories. World sales for Coca-Cola in 1974 amounted to more than 165 million drinks every twenty-four hours.

In the early days of selling Coca-Cola abroad, it was the practice to export syrup, concentrate, the finished product in bottles, advertising and other materials used in marketing the product. For this reason it became the custom, in the interest of brevity, to make reference to "Export bottles," "Export sales," "Export business," "Export concentrate," "Export personnel," etc.

Then, too, after the formation of The Coca-Cola Export Corporation in 1930, it became even more customary to use the term "the Export Corporation" and "Export" in connection with all phases of the business beyond the borders and shores of the United States. Thus, these abbreviated terms are used as a matter of convenience to mean the overseas business of The Coca-Cola Company and do not necessarily refer to the "exporting" or "importing" of any actual merchandise.

Today, virtually all of the concentrate used in the production of Coca-Cola outside the United States is also *produced* outside the U.S. in nearly thirty concentrate plants strategically located around the world.

And, of the more than 1600 Coca-Cola bottling and canning plants worldwide, about half are located outside North America.

Of all these plants less than five per cent are owned by The Coca-Cola Company. The vast majority are owned and operated by local and independent business people or, as is generally the case in Eastern Europe, by State enterprises.

Every one of the Bottlers, as well as the management and staff of the Export Corporation, is able to experience a keen sense of pride in what he has achieved.

Flamingoes and a fountain are a feature of the bottling plant in Tucuman, Argentina.

The huge bottling plant in Sydney, Australia, is set in nine acres of land.

A striking pagoda-like roof seems to be flying over the entrance of this plant in Mexico.

The plant in Madrid, Spain, has a garden setting.

For, as a world management and sales team, they have so positioned Coca-Cola in the international market that, for a single product, it enjoys a unique and unrivalled recognition and acceptance around the globe.

Definitive records of sales outside the United States in the earliest days are scarce. However, in 1949, Josiah J. Willard, a long-time employee of The Coca-Cola Company, while visiting Philadelphia, passed the old Custom House. He offered this bit of first hand history: "Here is where I made out the first manifest for a foreign shipment of Coca-Cola syrup in 1899. This first shipment was consigned to a J. M. Parejo in Havana, Cuba."

Willard was responsible for the shipment of all orders for the so-called "soda fountain" syrup on orders placed by the trade in those years . . . wherever the orders originated.

Charles Howard Candler, a son of Asa G. Candler, had just graduated from Emory College near Atlanta in June, 1900. Following graduation, he made a trip to Europe with a group of Emory students during the summer. His father had asked him to take a look at possible sales opportunities in Europe for Coca-Cola.

He was in fact able to find in London one soda fountain which was operated by a citizen of the United States named John T. Ralphs. Howard Candler, it so happened, brought with him to Europe a gallon of Coca-Cola syrup . . . half of which was remaining by the time he arrived in London. (He had been sampling along the way).

Candler introduced Ralphs to Coca-Cola syrup and showed him how to mix the drink. Ralphs liked it so much that he placed an order with Howard Candler for five gallons of syrup. The order also included some advertising materials.

Thus, technically, Coca-Cola was being sold abroad prior to the 1920's, but in small and very limited markets. Considering the difficult conditions and circumstances of the markets of that day, one could characterize the ventures as "modestly successful."

The earliest actual reference to sales of Coca-Cola outside the United States in Corporate Archives indicates that, about 1898, Asa Candler told his Board that the product was being sold in some Canadian cities, and in Honolulu. Arrangements at that time were being made to initiate shipments to Mexico.

By 1901, there were some occasional shipments to Jamaica and to Germany. The reason for the initial German shipments was that Candler and his associates were ordering advertising materials from Germany and had been able to contact wholesale houses in various German cities who were willing to handle the sale of the syrup.

The trademark "Coca-Cola" was registered in Canada in 1905, and some property was purchased in Toronto for the purpose of housing offices for the infant business there.

In 1906, the first bottling plants outside the continental United States were established in Cuba and Panama. At the same time, Canada was the first country outside the United States to manufacture Coca-Cola syrup. A Coca-Cola bottling plant was established in Toronto.

These early sales outside the United States were largely incidental to the primary function of The Coca-Cola Company, which was to sell syrup to Bottlers and to fountain outlets throughout the continental United States.

Coca-Cola had been in the marketplace

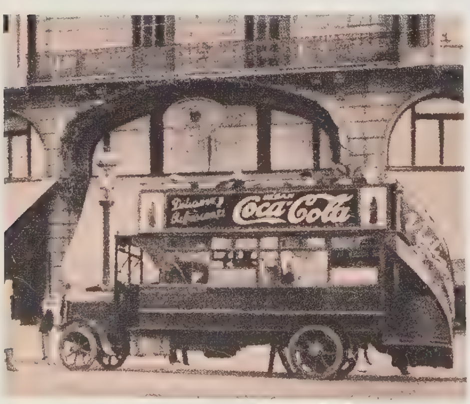
throughout the United States for forty years when the first really serious and organized efforts to sell the product worldwide were begun. Robert W. Woodruff was in his third year as president of The Coca-Cola Company in 1926 when he put motivation and organized business effort behind the idea that people everywhere are thirsty and would welcome a delicious and refreshing drink such as Coca-Cola. He organized the "Foreign Department," originally located in the Trinity Building on lower Broadway in New York City. Orders for Coca-Cola syrup were solicited from American exporting houses, as well as from foreign importing firms. There was a salesman assigned to call on ships berthed in New York harbor.

In 1927 a special glass bottle, designated as the "Export Bottle," for Coca-Cola was introduced and promoted for shipboard sales. The green glass, six ounce bottle was decorated with a paper label printed in red, white, green and gold. The crown and neck were elegantly embellished with gold foil! Coca-Cola was bottled in this package at Hartford, Connecticut and was shipped to various docks along the Atlantic Seaboard to be sold by the case for use aboard luxury liners bound for distant ports.

An important objective of the Foreign Department was to recruit local cit-

This advertisement for the special "Export Bottle" appeared in 1927.

These five trucks were the delivery fleet of the San Luis Potosi, Mexico, Bottler in 1929.



Motor buses in Barcelona, Spain, carried Coca-Cola advertising in 1928.

The Trinity Building, New York, was the home of the Foreign Department of The Coca-Cola Company in 1929.

izens to set up bottling companies in overseas locations. In the beginning (1926), this operation had Bottlers under contract in Honolulu and Wailuku, Hawaii; in Ancona and Cristobal, Panama Canal Zone. New Bottlers were added to the list on a regular basis. The Export business mushroomed in the 1920's.

During the early years, at least until 1926, it had been the practice to export both syrup and, frequently, the finished bottled product, outside the United States.

This practice achieved quick product identity and acceptance in specific markets for special promotional purposes.

However, very soon the shipment of Coca-Cola syrup abroad by the barrel became prohibitively expensive. Therefore, in 1926, it was decided to supply the Bottlers off-shore with Coca-Cola concentrate rather than syrup. The primary difference is that concentrate has less water and does not contain sugar, hence the volume and weight are reduced.

Growth was rapid, so that by 1929 there were 64 authorized Bottlers of Coca-Cola operating in 28 different foreign countries. In order to provide for more efficient growth of the business outside the United States, Robert W. Woodruff established a new subsidiary of The Coca-Cola Company: The Coca-Cola Export Corporation.

It was created on March 13, 1930, with offices in New York.

There it remained (except for a brief sojourn in Wilmington, Delaware), until 1972 when its headquarters personnel were moved to Atlanta for closer liaison with the Company's Corporate headquarters.

The Canadian and Cuban markets were served through well established and separate subsidiaries which did not form part of the Export group. Headquarters for Canada were in Toronto.

Mr. Woodruff became the first president of The Coca-Cola Export Corporation. He was also president of The Coca-Cola Company.

Prior to 1930, the world beyond the shores of the United States was not generally acquainted with American products. There were, of course, some famous exceptions such as Ford and Singer Sewing Machines.

For this reason, perhaps, Coca-Cola sometimes encountered a strange and even hostile market environment. Contemporary records, however, reflect slow but rising sales during the period and it appears that, virtually from the beginning, Coca-Cola was a marketable product wherever it was introduced and sold.

In the Far East and Asia where Western products, soft drinks among them, were then largely unknown, the San Miguel Brewery in Manila was among the earliest of the overseas Bottlers, commencing to sell Coca-Cola in the Philippines in 1912.

The Bottler's agreement of 1927 gave the firm the bottling rights for all of the Philippines, thus making it, in area, the largest single franchise territory in the world, its 7,090 islands stretching for 1,100 miles and covering nearly 115,000 square miles.

In the same year that the San Miguel agreement was being signed in Manila, in 1927, Coca-Cola made its first appearance on the market in China, in the cities of Tientsin and Shanghai. The following year it was sold in Chefoo and, in 1930, in Tsingtao.

During the same period, in 1928, Coca-Cola was also introduced to the British Crown Colony of Hong Kong, on China's southeast coast. Both in China and in Hong Kong sales steadily increased up to the outbreak of the Pacific war in 1941.

New Goals

The achievements of Coca-Cola Bottlers throughout the world during the decade of the 30's, even in the midst of a world-wide depression, served as a sturdy base and foundation for the rejuvenation and growth of the business during the decades following World War II.

In 1930, the Company began to organize a number of subsidiaries to conduct the business in Europe. Most of the subsidiaries were related to two holding companies . . . one in Luxembourg (Societe de Placements Alimentation) . . . and one in Holland (N.V. Nederlandsche Coca-Cola Mij.). In some instances, The Coca-Cola Export Corporation shared part ownership in these subsidiaries.

One of the many who made a substantial contribution to the early establishment and subsequent development of the business in Europe was Max Keith, Mr. Keith, a German national who joined the Export Corporation in 1933, was instrumental in helping to establish many of the first Coca-Cola bottling operations in Europe. He continued active in the business until his retirement in the mid 1960's.

In Scotland, where bottling of Coca-Cola began in 1938, the founders of the business recall special sellings at which they would be lucky to sell two cases in six hours!

In Northern Ireland, where bottling began in the spring of the following year, the Bottler's gross profit at the end of the year amounted to £397.10s.2d. (US $932.)

A 1956 institutional advertisement used by the Bottlers in South America as a tribute to teachers.

This 1950's advertisement was used in Brazil to show the universality of Coca-Cola.

Gift-giving is a twice-a-year custom in Japan and this advertisement promoted 12- and 24-bottle gift packs designed specially for these occasions.

The Coca-Cola industry's contribution to a local economy was the message of this South American magazine advertisement.

out of which all operating expenses had to be paid.

Although Coca-Cola had already been sold in the British Isles in 1900, the trademark Coca-Cola was not registered there until 1922.

Coca-Cola was first bottled for the Company in the United Kingdom in 1934 by the Brighton firm of R. Fry and Co.

While Fry's did the bottling, the Company did the selling, and as they awaited the arrival of their first route vehicles, the Company made deliveries in London by taxi cab.

By 1939, seven Coca-Cola bottling plants were operating in the British Isles.

Prior to 1937, the European business was under supervision of the Canadian organization in Toronto. However, in that year, The Coca-Cola Export Corporation assumed responsibility for the European business. H. Burke Nicholson, Sr. was named European manager with offices in London. He succeeded Albert H. Staton, who was transferred to South America.

Early in 1939, Mr. Nicholson returned to the United States, but before he did so he met with Max Keith and asked him to look after the business on the continent in the event of war.

During the extraordinarily difficult war years, Mr. Keith somehow managed to travel to Luxembourg, to Belgium, France and into Italy for the purpose of encouraging the continuance of the Bottlers' businesses.

Latin America, as a market for Coca-Cola, has been important since the early years of the century. The first plant to be established anywhere in the Americas outside of the United States and Canada was in Panama in 1906.

Some thirty bottling plants had been opened in Latin America during the 1920's and early 1930's. While these plants were scattered rather thinly throughout the Americas and in the Caribbean, their success had been encouraging.

In 1938, the Pan American Division of the Export Corporation was formed. The objectives of this Division included the development of new markets for the Company's products and the establishment of contractual relationships with local bottling companies.

By the early 1970's Coca-Cola was bottled and sold in about 200 plants located in forty countries in Latin America. To service these Bottlers, ten concentrate plants had been established throughout Central and South America.

Wilhelmus (Bill) Bekker was considered the pioneer and dean of the Latin American business. In the early 1930's, Bekker had been employed in Holland for service in the Western European business. And for several years in the late 30's he operated a bottling plant in Barcelona.

Bekker came to Atlanta in 1940 to join the Pan American Division. He was soon sent to Buenos Aires, Argentina. He then began building a marketing structure which was to spread throughout Latin America.

War Years

The thrust and direction of The Coca-Cola Company's business efforts during World War II were set by Robert W. Woodruff when he issued the directive:

"We will see that every man in uniform gets a bottle of Coca-Cola for five cents wherever he is and whatever it costs."

During the course of the war more than 5,000,000,000 bottles of Coke went to American servicemen and women in addition to that served through dispensers and self-contained equipment in battle areas.

A total of 64 complete bottling plants was shipped around the world during the war and set up as close as possible to combat areas.

Company personnel went along to operate the plants. They were designated Technical Observers and attached to the armed forces. Three of them lost their lives in the performance of their mission.

"We are proud of the job we did," said H. B. Nicholson. "And so were the G.I.'s. They conducted the greatest word-of-mouth campaign ever afforded any product in history."

In 1958 a Coca-Cola bottling plant was built at the Brussels World's Fair. Three million visitors made plant tours while it produced Coke for the fair's 180 restaurants and snack bars.

This "Symbol of Friendship" painting, was widely used throughout the world during the fifties.

Thousands of pigeons helped to make this picture in St. Marks Square, Venice.

The Coca-Cola Bottlers in Italy celebrated their 30th anniversary in 1957; the laurel wreath symbol appeared in all print advertising.

Mr. Nicholson also recalled: "In 1943 a prisoner-of-war coming down a gangplank at an American port, spotted a bright red sign. He stopped in amazement. 'Oh', he said to a guard, 'You have Coca-Cola here too!' The incident was widely reported in the press and Americans, generally, were also surprised. It was news to them that something they consider 'so typically American' was considered indigenous to other countries. It was like Main Street suddenly stretched around the world and a comforting thought to those with fighting men in the far-flung theaters of operation."

Getting Coke to the battle areas was not only often difficult but also called for much ingenuity. In the Pacific ingenious combinations of ice-making machines and beverage dispensers called "Jungle Units," were developed for dispensing Coca-Cola. Specifically designed to fit on most military transportation facilities, they could even go into a Jeep or other small motorized vehicles and, by the end of 1944, these units were to be found all over the South Pacific.

After U.S. military personnel had arrived in North Africa, negotiations began between the Export Corporation and the American Army Command in North Africa which resulted in bottled product being made available for the troops based there.

These negotiations produced a now famous cablegram, dated June 29, 1943, which was dispatched from command headquarters in Oran. It requested a total of ten Coca-Cola bottling plants for shipment to North Africa. Today a copy of that cablegram—"The Eisenhower Order," is proudly exhibited at the Company's Atlanta headquarters.

In 1944, immediately after Paris was liberated, one of the more spectacular efforts of the war-time operation occurred. It had to do with the installation of a 60-spout bottling unit in the French capital. To get this plant opened, it was necessary first to recover a bottle filler which had broken its cable while being lifted from ship to dock and had sunk into mud at the bottom of Le Havre harbor. Further ingenuity and much patience was needed to transport a 31 ton bottle washing unit into Paris for installation.

Following the liberation of the Philippines in 1945, the Technical Observers moved into Leyte and eventually Manila. Bottling of Coca-Cola was resumed in Manila on August 1, 1945, for the first time since January, 1942.

A small bottling operation was set up in a garage across the street from the San Miguel Brewery for the purpose of supplying bottled Coca-Cola to the military. On the day when the bottling machinery was to begin producing the product, General Douglas MacArthur was present for the gala opening. He signed a card which was attached to the very first bottle off the line. This bottle and card, with MacArthur's signature, is a part of a permanent exhibit in the Archives of The Coca-Cola Company, Atlanta, Georgia.

The impact of the Second World War had been truly global. Few countries had been unaffected. The economic chaos left by that war meant that many of those countries most closely involved were unable to begin to enjoy a stable economy once again for several years; in some cases this was not until the fifties and even 1960, and it was not until then that Coca-Cola fully re-entered the life of many of those countries.

But throughout the war years The Coca-Cola Company and The Coca-Cola Export Corporation had been working not only to supply the armed forces but to keep alive the civilian business wherever possible around the world.

Toward the end of 1946 there were more than 155 Coca-Cola bottling plants operating around the world in the six former theaters of military operations. Of these, 64 had been shipped from the United States and put into operation between 1943 and 1946.

It was in 1949 that the first factory to manufacture Coca-Cola concentrate outside the U.S. was opened in Belgium. Located in Brussels it was a simple factory occupying half of a modest building; the other half was occupied by the Brussels bottling plant.

This unpretentious facility supplied the Coca-Cola concentrate for all the bottling plants in Western Europe until a second plant was established in Holland. Later a third plant was opened in Germany.

As the Coca-Cola business was being rebuilt in Europe it was also being reestablished in another former war-zone, the Far East.

In Singapore, where Coca-Cola had first been bottled in 1936, a franchise to bottle Coca-Cola again was given to Fraser

The Acropolis is seen in the distance from this kiosk in Athens, Greece.

This cafe snack bar is in the center of Tehran, Iran.

Many kiosks in the hotter countries, such as this in Pakistan are sited in the shade of an overhanging tree.

Outdoor stalls like this are typical in Logos, Nigeria.

& Neave Ltd. in 1949. But it was not for another two years, in 1951, that a subsidiary of the company, Lion Ltd., actually began bottling.

Meanwhile bottling had recommenced in Hong Kong in 1947. The Bottler was A. S. Watson Ltd. In 1948 this company was succeeded by Anker B. Henningsen & Family. The Henningsen company obtained an agreement with the U.S. Military Command to sell Coca-Cola in Taiwan; but it was not until 1957 that Coke was made available to the civilian market there.

It was also from Hong Kong that Portuguese Macau, on the Chinese border, began to receive Coca-Cola in 1948. It had no bottling plant until the distributor, Lee Po Tin, was granted bottling rights in 1965.

And so it was that more and more Coca-Cola bottling plants began to commence or recommence operation throughout the Far East, Asia and, too, in every corner of a world once again at peace.

A Single Image

For those markets throughout the world where Coke was available even on a rationed basis after that war, it soon became evident that there would be problems in providing advertising and promotional materials for use in selling the product.

There were few raw materials or manufacturing sources abroad for the creation or production of advertising materials.

It was therefore necessary in the beginning to produce the materials in the U.S. and ship them overseas in finished form for distribution. Advertising materials for each market were created and produced in accordance with language specifications and legal requirements.

As soon as printers, lithographers, and engravers were located abroad who could produce the materials needed by the Export Corporation, artwork and printing plates were shipped to these local businesses and U.S. production for overseas advertising material was discontinued. Overseas suppliers were often brought to the U.S. to tour plants of American suppliers and share American technology. This resulted, for example, in the establishment of a supplier for 24-sheet outdoor posters in Italy, serving most of Europe.

The Export Corporation encouraged equipment manufacturers (coolers and vending machines, 6-pack cartons, wooden cases and the like) to open plants in the various parts of the world where they could serve the needs of the Export Bottlers. In many instances, Company engineers and technicians assisted in the development of these plants and even in personnel training.

By the late 1950's, most problems concerning the uniformity and quality of advertising materials produced in Europe had been solved. The trademark "Coca-Cola," as it appeared in advertising copy around the world, was transliterated into alphabets and written characters where the "Roman" alphabet was not used. By using "pattern" advertising created at the Company's home office, local representatives and Bottlers could adapt general advertising themes and campaigns to specialized local market needs—helping further to make Coca-Cola a truly "local" product wherever it was sold.

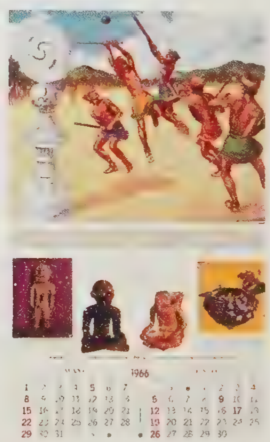
A somewhat similar principle was adopted for the training of route salesmen around the world. A comprehensive series of "Chalk Talk" sound-slide filmstrips was devised. From a basic picture script, using "neutral" figures drawn in chalk; interspersing these with locally photographed scenes using pencil sketches as a guide; and then recording local language dialogue and commentary from a master script, local Export offices were able to provide well prepared basic training programs for salesmen anywhere in the world.

Similarly, working on the slogan "No one knows as much as all of us," each Export office around the world was equipped at first with a "Treasure Chest" containing reports on U.S. market activities. Later Export developed its own "Sales Shelf." This was a specially designed bookcase with 22 looseleaf box files, slide film cabinet and a projector. Into these went a regular supply of case history reports on all basic aspects of the Corporation's activities around the world. Subjects included consumer campaigns, market research, sampling, sales training, special promotion, plant visits and so on.

Sponsorship by the Coca-Cola Bottlers in Italy brought minibasket from obscurity to a sport enjoyed by ½ million youngsters.

Low winter temperatures in Norway make closed trucks a necessity.

One aspect of the support given by Mexican Bottlers of Coca-Cola to the National Museum of Anthropology was to dedicate their 1966 calendar to an illustrated history of Mexico.



Rack body trucks, such as this in Taiwan, are used by Bottlers in many parts of the world where steep, twisting roads must be negotiated.

Much use was also made of the 16 mm film library. Many Bottlers have their own regular film unit showing films to schools, youth organizations, factories and at plant visits.

The Export film library, now totaling more than seventy subjects, has a number of highly popular films with commentaries available in any of 14 different languages.

Such a film is "Wonderful World." Made to show how naturally Coca-Cola fits into hospitality patterns around the world, it took 14 months to make with three camera crews traveling 190,000 miles. Twenty three different languages were used in directing the film, which visits 31 countries.

The Local Bottler

The philosophy of the Company's worldwide business is based on the enduring principle that "a healthy world economy is dependent upon a healthy local economy everywhere." Therefore, as soon as it became feasible, the Export Corporation sought independent local businessmen to provide capital for the establishing of bottling plants in their own countries using local citizens for their employees. Also the development of other new businesses was encouraged in many countries to supply local Bottlers with advertising materials, coolers, cases, crowns, bottles, and other items needed for the business. This meant that the Coca-Cola bottling business was providing jobs for local citizens and it strengthened the reputation of the product as a serious and permanent contribution to the economic well-being of all of the countries where the product was sold.

Not only does it often help to create or to give fresh impetus to local industries; in some cases, as in Britain, it indirectly boosts the country's exports. By helping suppliers there to provide bottles, crown corks, vehicles, refrigeration and other equipment to Coca-Cola Bottlers in many overseas countries, it adds more than £2 million ($4,690,000) annually to the nation's export earnings.

The Corporation's contribution in Africa was described by J. Paul Austin, who became Board chairman of The Coca-Cola Company in 1970, but who, earlier in his career, was previously vice president and manager of the Export Corporation's Africa Area. In a speech to the Economic Club of Detroit in 1967, he said:

"Shortly after World War II, The Coca-Cola Company entered a particular small country in Africa, which was then a colony. The economy was almost totally an agricultural economy. To get a bottling plant operating, practically every item required had to be imported—from construction materials to production machinery, and, of course, the bottles to hold the product. We were well aware that we could not impose ourselves on this thin economy indefinitely, and that we would have to put into business various suppliers.

"Accordingly, we assembled local capital, and our engineers supervised the construction and operation of a glass-making facility. We gave them a large order and paid in advance to supply working capital. We translated our truck maintenance manuals into the local language to teach a local truck operator how to maintain our rolling equipment, and in the process taught him to extend the life of his own transport. Our engineers created a relatively simple blueprint for another group of artisans to make the wooden crates in which we handle the bottles. In a similar fashion we obtained local production of the metal coolers.

"The original small businesses have today grown into a large automotive body work and maintenance business, a large wood-working and milling plant, a large metal working facility. The glass plant makes not only bottles for Coca-Cola but milk bottles, medicine bottles—in fact, all types of glass containers.

"Each of these satellite industries now employs hundreds of people, but, most important of all, they have heading them up, local African managers—men who are facing up to the best teacher and disciplinarian of them all—the P & L statement."

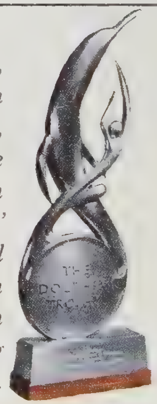
Wherever Coke is bottled and sold around the world, the Coca-Cola organization feels itself part of the local community and recognizes its social responsibility to that community.

For that reason it participates, and often acts as a leader, in activities which in some way contribute to the life and well-being of the community of which it is a part.

To help school children understand the increasingly vital, but comparatively new subject of ecology, Bottlers in Australia, the United Kingdom, Scandinavia, France and Germany have produced illustrated literature, teaching kits and slide film programs as educational aids for schools.

In Australia more than half a million copies of a superbly documented 60-page

More than 1½ million copies of this material on historic buildings in 32 French cities were produced by the Coca-Cola Bottlers in France.



The Dolphin Trophy, depicting a child and a Dolphin swimming joyously together, is awarded by the United Kingdom Coca-Cola Bottlers' in their national learn-to-swim incentive program aimed at reducing child drownings.

Public service printed material produced by the Australian Coca-Cola Bottlers is of a high standard.

More than 180,000 youngsters now enter the National Essay Contest sponsored annually since 1962 by the Spanish Bottlers of Coca-Cola.

illustrated booklet on water, "Life, Wealth and Power," together with a set of six wall charts, were produced as an educational aid. The booklet was regarded as a publication of major importance and, in addition to its wide use in schools, was much sought after by universities and public water and sewage authorities.

Answering a plea by their country's president in 1964, the Association of Mexican Bottling Plants has since helped to establish more than 200 Literary Centers for special instruction.

Philippine Bottlers assisted in establishing the Barrio Book Foundation Inc., which was used to help finance the purchase of textbooks for resale at cost to high school students.

Since 1961 the Spanish Bottlers have sponsored a national essay contest for 13-15 year old secondary school students. In 1973, the contest attracted some 180,000 entries—more than 90 percent of those eligible to enter—and it had become acknowledged as the country's most important literary contest.

In Japan, an annual scholarship program instituted in 1966 is based on the selection of 16 under-privileged high school graduates and the provision of college funds for them for four years.

In India, scholarships are awarded to the country's food technological research institute.

In France in 1962, the Coca-Cola Bottlers created a foundation to sponsor annual awards for the encouragement of medical research. By 1974 there were four separate awards in the fields of industrial medicine, dietetics, sports medicine and dentistry.

To help reduce the tragic toll of child drownings in Britain, the Coca-Cola Bottlers have, since 1963, sponsored a learn-to-swim incentive scheme—The Dolphin Trophy—through primary schools. As a result, in the scheme's first 11 years the average of 12-year old swimmers per school rose from 49.3 percent to 85.7 percent and today some 1,800 schools compete annually.

Back in 1960, the Coca-Cola Bottlers in France gave help to a group of young people who had begun important restoration work on historical buildings in Le Marais, a district in the heart of Paris. Their support included the publication of a well illustrated leaflet publicizing the work. By 1974, in close cooperation with national and local tourist and government authorities, the Coca-Cola organization had sponsored the publication of an extensive folio of leaflets, with a total print run of some 1½ million, about ancient buildings in 31 other French cities.

Coca-Cola Bottlers worldwide also give considerable help to the promotion of sport and physical fitness. And, as with their sponsorships in other fields, they do not just give money; they become involved.

The Australian Bottlers, for example, have not only made a substantial grant to the Sydney Human Performance Laboratory—a co-operative venture between the city's teachers' college and the Institute of Medical Research at one of Sydney's leading hospitals—but they have also produced two widely acclaimed films on physical fitness, each with an accompanying illustrated teaching booklet.

In Italy in 1964, "mini-basket"—basketball for youngsters—was unknown. Today, thanks to imaginative sponsorship by the Coca-Cola Bottlers, mini-basket is played regularly by half a million Italian children and many schools include it in their weekly curriculum.

Each year since 1968, the British Bottlers have sponsored the most talked about international athletics meeting in the country. In 1971, they also helped to create one of the biggest international swimming events in the world, hailed by prominent journalists as "the forerunner of the world championships."

Expansion Continues

In the earliest days, the Company drew on experienced men trained in the bottling business in the United States to assist in getting the business established in other countries. American personnel were gradually withdrawn from direct association with most Export bottling plants as soon as locally recruited personnel were ready to assume responsibility for bottling operations.

For the purpose of advising and counselling the Bottlers throughout the world, the Export Corporation established registered branches and/or subsidiaries in many countries. In these various offices there are more than 13,000 employees, of which 99 per cent are citizens of the countries where they work.

This is an example of international pattern advertising as used in France.

A life-size cutout was used in this point-of-sale display in a store in Germany.

This is how "It's the Real Thing" was interpreted in Spain.

The entrance to a fairground in New Delhi, India.

The majority of Export executives are given training in countries other than their own and, in the case of those in marketing and similar types of work, a standard course of training for Export and senior Bottler personnel in the United States and Canada has been in operation each spring and autumn since the fifties. Its duration has varied from four to ten weeks and its program has been regularly revised to ensure that its contents accurately reflect current marketing situations.

Training is also one of the functions of the comparatively few—less than five percent of the total—Company-owned bottling plants around the world. These plants are also used to test new products, packages and equipment as well as enabling the Corporation to keep close to the daily problems of its independent Bottlers.

After 1950, markets for Coca-Cola had begun to open up rapidly around the world. In the 25 years between 1949 and 1974 Coca-Cola bottling contracts were negotiated with citizens of 99 additional countries around the world.

Examples of that outstanding growth can be seen by looking at just two differing parts of the world—Southern Africa and Japan.

It was only in 1961, after several years during which import restriction affected concentrate supply, that Coca-Cola became freely available to the civilian market in Japan. The market was at that time served from a single plant located in Tokyo.

By 1964, twenty bottling plants were in full operation. Only ten years later, there were 52 modern and highly efficient bottling and canning plants and the number of retail outlets they served had multiplied five times to more than 1.2 million.

To ensure first class service to those outlets, the number of route delivery vehicles had increased from less than a thousand to nearly 8,000. And, as sales of Coca-Cola and its new partners Fanta and Sprite increased, so too did bottling speeds.

In 1964, the highest speed filler was a mere 580 bottles per minute. By 1974, the filler speed had increased to 1,200 bottles per minute—probably the fastest bottling line in the world. And, to meet the greatly increased public demand, the total production capacity during that decade rose from 6,300 bottles per minute to 83,000 bottles per minute!

Not surprisingly, Coca-Cola, Fanta, and Sprite are today unquestioned brand leaders in the Japanese soft drink market.

In Southern Africa back in the early thirties a company selling fountain syrup had abandoned Coca-Cola because, they said, "it holds very little promise of making a profit for our shareholders."

By the beginning of 1974 Coca-Cola had become the leading soft drink in the Southern Africa Area.

The first bottling of Coca-Cola had taken place in 1937 in Johannesburg. It was in a competitor's plant during the night shift.

Later that year it moved to larger rented premises in a suburb of Johannesburg.

Within ten years seven more bottling plants had been opened. The next ten years saw three times that number begin operation. By 1973 Southern Africa had 52 Coca-Cola bottling operations—four of them company owned and the remainder franchise operations owned by independent local business concerns.

In addition to Coca-Cola more than 30 speciality beverages have been developed to meet varying tastes around the world. Some are nutritionally-fortified beverages developed after lengthy research with a primary object of providing pleasant added diet supplement for those living in areas of the world where the achievement of adequate nutritional standards is difficult.

In the late 1960's the Export Corporation also began the distribution of frozen fruit concentrates in selected areas. At the beginning of 1974 Minute Maid frozen citrus juices were being sold from Coca-Cola bottling plants in Africa and Europe.

To meet the expanding worldwide demand for Coca-Cola, the Export Corporation revised its field organization in the 1960's. Four operational "Zones" were formed: Coca-Cola Africa, Coca-Cola Asia, Coca-Cola Europe, Coca-Cola Latin America, and separately, Coca-Cola (Japan) Co. Ltd. Each of the managers of these units reports to the president of the Corporation.

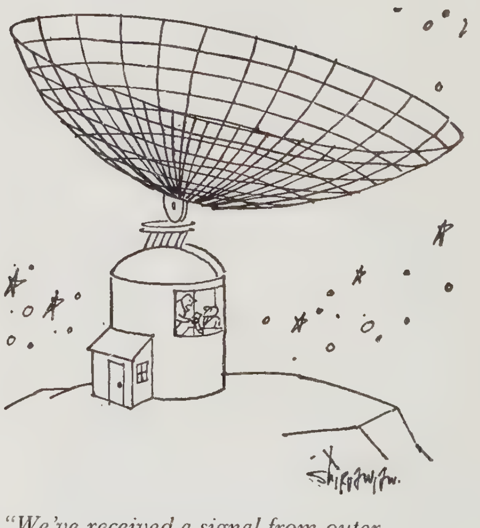
Each of these Zones covers a vast territory with immense differences in language, culture, politics, religion, economic and social development, climate and geography.

Two examples of the extremes in geography are the bottling plants in Amsterdam, Holland, and La Paz, Bolivia. The Amsterdam plant, like much of the rest of the Netherlands, is some 12 feet below sea level and is probably the lowest in the world. But the La Paz plant is almost certainly the highest. It is 13,000 feet above sea level—2½ miles up in the sky!

Worldwide, Coca-Cola is advertised in more than 80 languages. In the Middle Africa Area, which covers some eight million square miles—a territory twice the land area of the United States—Coca-Cola is advertised in 15 languages.

And the European Zone, which covers a third of the world's surface and, including as it does India, Pakistan and Asiatic

"Must be civilized—they have it too!"



"We've received a signal from outer space! It says, 'Drink Coca-Cola'!"

By permission of Associated Newspapers Group Ltd.

Russia, has nearly half its population, also has its share of different languages. Europe has 22 major and 18 minor languages and in India, with a 1974 population of more than 550 million, 15 major languages are officially recognized.

Although Yugoslavia has a population of only 21½ million, the country's diversity of language and culture makes it necessary for Coca-Cola to be advertised in four different languages.

Coca-Cola was introduced to Yugoslavia in 1968 but had already been in Eastern Europe for two years before that, in 1966, when a bottling plant began operating in Bulgaria.

In 1974, there were one or more Coca-Cola bottling plants in Bulgaria, Czechoslovakia, Hungary, Poland, and Yugoslavia.

In the Export business of the '70s more than 1,000,000,000 people have access to the product Coca-Cola through an estimated four million individual retail outlets. Yet in the years ahead the untapped potential in Eastern Europe and Asia alone could offer markets for Coca-Cola as big again.

And, as the world business continues to grow, some are even looking beyond this planet!

During the space missions of the sixties and seventies The Coca-Cola Company received a number of applications from would-be entrepreneurs requesting that they should have first option when the Company began to grant Coca-Cola bottling franchises on the moon. For some years too every new space shot seemed to create a fresh crop of cartoons underlining the ubiquity and leadership of Coca-Cola.

The significance of the world business today is indicated by the fact that, in 1974, the chairman and president both of the Company and of the Export Corporation were all men with senior management experience overseas.

Company Chairman J. Paul Austin was with Export for 12 years, for four of which he had been in charge of the African Area.

Company President Charles W. Duncan Jr. was chairman of Coca-Cola Europe in London from 1967-1970.

John C. Talley, chairman of Export, joined the Corporation in 1934 in Canada and spent 27 years there and overseas. During the war he was a Technical Observer with the Armed Forces in Europe and he then headed up Export operations in Italy and Australia.

Claus M. Halle had the distinction of becoming the Export Corporation's first non-American president in 1973. German-born Mr. Halle began his career as a trainee with Coca-Cola G.m.b.H. in Essen in 1950, rose to become vice president and manager of the Central European area and was appointed president of Coca-Cola Europe in 1970.

Looking back only a few years, the name of Lee Talley, who was later president and chairman of the parent company is well remembered as a president of Export during an important expansion period in the mid 50's. He, too, traveled to many parts of the world in his Export function and had also, for a number of years, served in Canada as a vice president and then president of the Canadian subsidiary.

The Honorable James A. Farley was chairman of the Board, The Coca-Cola Export Corporation for more than thirty years. In 1973, he was appointed the Board's honorary chairman.

While he was chairman, Mr. Farley normally traveled considerably more than 50,000 miles a year by land, sea and air visiting Export and Bottler operations in at least 20 countries annually.

Prior to his association with The Coca-Cola Export Corporation, Mr. Farley had distinguished himself in the American political arena. He held a number of prominent public offices, including that of Postmaster General in the Cabinet of President Franklin D. Roosevelt.

Robert W. Woodruff, when he invited Mr. Farley to become Board Chairman of the Export Corporation in 1940, recognized the potential of Mr. Farley's experience and how it could relate to the development of the Coca-Cola business throughout the world.

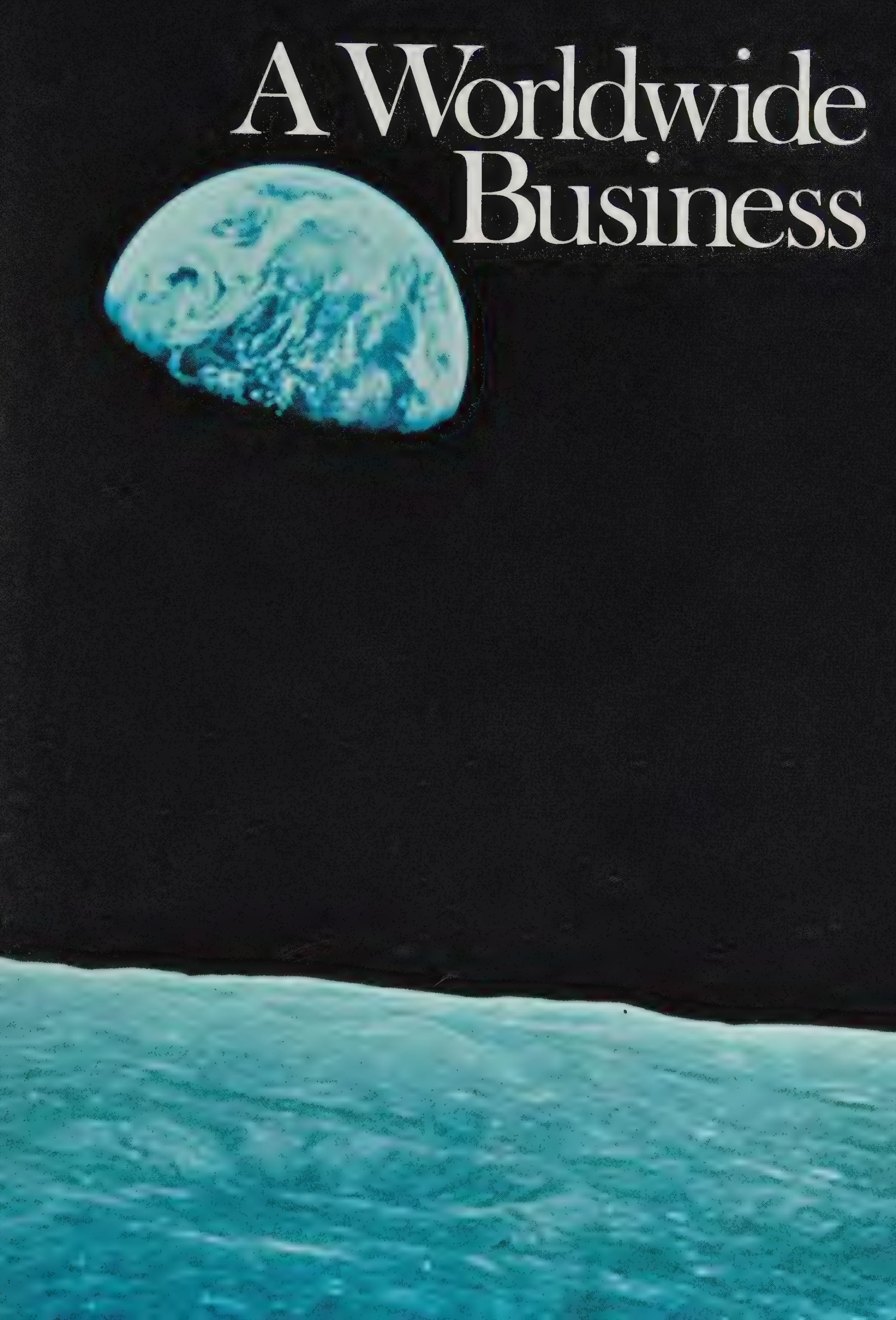
Reflecting upon his career with the Export Corporation, Mr. Farley said: "Coca-Cola has become the best-known trademarked product sold (throughout the world), as well as the most appreciated. It is in more homes daily than any other trademarked product; consumed daily by far more people than any other trademarked product." He added, "almost anywhere you go you can buy Coca-Cola—and its refreshment, taste and quality are always exactly the same throughout the world."

An adaptation of international pattern advertising is used in these posters in Warsaw, Poland.

During the 1972 Olympics in Munich, a team of 120 vendors served Coke to many of the Games' four million spectators.

In 1974 there were two Coca-Cola Bottling plants in Hungary and signs like this in Budapest were becoming a familiar sight.

The Coca-Cola bottle is the same worldwide, except for some local script renderings of the trademark.


A Worldwide
Business

Part Seven

The Chief Retires

Though January 1, 1955, marked the retirement of Robert W. Woodruff as an officer of the Company, the corporate ship sailed on. He had seen to that. His active and restless mind continued to function on behalf of the business enterprise to which, for 32 years, he had contributed so much.

Indeed, it was indicative of the singular relationship that prevailed between Woodruff and The Coca-Cola Company, that when he retired as an officer he promptly moved into a new suite of Company offices. His retirement, after he had reached his sixty-fifth birthday and, according to his own Company rules, was mandatory. However, it was a striking example of a technicality: Robert W. Woodruff, the man, may have retired but the personal thrust of his concern for the business did not.

In retirement, Woodruff remained a powerful figure in the Company. The only title he retained was chairman of the Finance Committee of the Board. Now, nearly two decades later, he not only retains the title, but functions actively in the office. Before he went through the motions of retiring, his dominance of the Company was such that he was sometimes called "The Concensus." Only once that anyone can recall did the Company Board of Directors deny him a request. That was when he asked for an appropriation so that he could expand foreign operations. The Board demurred. Woodruff shrugged and went ahead anyway.

"Bob Woodruff is one of our nation's greatest industrial leaders," said Thurman Arnold, who before practicing law in Washington was the Justice Department's most celebrated trustbuster, "but he differs from most of his influential and conservative peers. He will make his mark in history not because of the wealth and prestige he achieved but because of his independent thinking. He never went along with the crowd. He had a conception of competitive society which many of his fellows in industry would have thought bordered on the radical. He was never deceived by slogans, nor was he influenced by pecuniary self-interest where that self-interest seemed to be opposed to public welfare. He understood and appreciated original people and original ideas.

"In the world of industrial tycoons he understood the dangers of monopoly and the benefits of competition more than any other man I ever knew. He built Coca-Cola into the pattern of industrial development which has been, and I think will be, a model for future big business to follow."

New Packages and New Products

During the mid-1950's, the Company entered a new era involving variety in packaging, diversity in soft drinks and the manufacturing and marketing of products other than carbonated beverages. The stage had been carefully set, and the innovations took center position.

No merchandising organization such as The Coca-Cola Company breaks with 55-year precedent casually. The 6-1/2 ounce bottle had certainly been a success and still is. Yet, since World War II, consumer habits had been changing. Exhaustive field tests by the Company and by

Thermometers are one of thousands of different promotional items used in advertising.

"The best is always the better buy and anytime is time for Coke" themed 1943 posters.

In Japan, as everywhere, a pretty girl gets attention for the sales message.

Bottlers indicated conclusively that the time had come to supplement the internationally popular 6 1/2-ounce container with various larger sizes—to give the consumer a choice as to package size.

So the king and family size bottles took their bow in the marketplace in 1954 and 1955. Actually, they were 10-, 12-, and 26-ounce packages and they were an immediate success. Indeed, Bottlers were urged to cultivate each market to the end that there would always be at least two bottle sizes of Coke in every consumer refrigerator. It was pointed out that constant availability is just as important in the home as on the retail shelf and that two or three package sizes assure more availability than one.

Subsequent innovations in bottles included test marketing of 12- and 16-ounce one-way or non-returnable bottles in 1961; approval of a 16-ounce or half-quart size bottle in 1962; the introduction in test markets only in 1969-70 of plastic one-way containers in the contour design; in resealable, screw-top containers in 1970. All of these containers for Coca-Cola introduced in this period, regardless of size or material, with the exception of the straight-sided resealables, conformed to the world-famous contour design, so long in vogue and which was registered as a trademark in 1960.

The non-returnable metal can, as a prospective container for Coke, did not escape Company attention during the packaging revolution of the 50's and 60's.

Three primary problems awaited solution before the can could perform the desired function. They were high unit cost, convenient lift-top access to contents, and the development of a liner that would not affect the delicate bouquet of Coca-Cola. All were solved in due course.

The initial use of cans for Coke took place in 1955, when distribution was confined to U. S. military forces in the Far East, where shipping in glass was not feasible.

Following the successful test-marketing of 12-ounce flat-top cans in several areas during 1959, the package literally took off. It turned out to be of primary convenience to a population ever on the move.

In order to solve the problem of separate canning lines in individual bottling plants, the Company developed plans in 1967 for a separate subsidiary corporation for the purpose of providing canning services for its soft drink products for individual Bottlers who did not maintain their own canning lines.

In addition to bottles of various sizes and cans, other important packaging developments took place during this period. Following much study and testing, Pre-mix equipment was put into full production in 1955 and soon achieved wide usage.

This equipment refrigerates and dispenses into cups beverages prepared in bulk by local Bottlers. Pre-mix dispensers have particular application to locations where paper cups are more suitable than bottles. They are produced in several types: coin control vending units for fixed locations, counter units and small carry-pack units. They enable the Bottler to make Coke available in every segment of his market.

In anticipation of the successful introduction of the equipment, first Pre-mix contracts were issued to Coca-Cola Bottlers and to Coca-Cola Bottling Company (Thomas), Inc., on June 23, 1954. The first Bottler to actually sign, on the above date, was The Hamlet Coca-Cola Bottling Company, Hamlet, N.C.

In line with a trend among fountain operators for larger per-unit sales, the Fountain Sales Division, in 1955, began experimenting with a 12-ounce glass for Coke.

During succeeding years, the large glass has met with wide acceptance by dealers and consumers.

During the 60's, two other significant landmarks were passed in connection with packaging and dispensing fountain syrup. In 1964, a five-gallon stainless steel container, called Figal for short, provided an easy-to-operate pressurized dispensing system for high volume dealers. Two years later, Syrup-Pak, a one-gallon plastic-coated paper container for fountain syrup, was placed in test markets. A disposable container, it offered weight and space advantages over glass.

With its diversified line of soft drinks, plus other products acquired as the result of mergers, The Coca-Cola Company offers today a wider variety to the consumer than Dr. Pemberton and Asa G. Candler ever dreamed in the elegant eighties.

The seed of this diversification sprouted during World War II in Europe. The war situation naturally curtailed the activities of many overseas Bottlers. There were shortages of machinery, shortages of material—just as there were back home. German Bottlers ran out of Coca-Cola concentrate early in the war and developed a different soft drink. The trademark "Fanta" was adopted for this beverage. In 1946, The Coca-Cola Export Corporation acquired this trademark, and later developed a line of flavors to be marketed in a distinctive bottle under that trademark.

It took time for the innovation to reach the United States. In 1960, The Fanta Beverage Company, a Division of The Coca-Cola Company, was created to administer affairs connected with the distribution of Fanta brand flavors, then

In 1960, the Company entered the citrus business via merger with Minute Maid Corporation.

A 1946 poster featured the girl back home.

Principal citrus products of the Foods Division are sold under the trademarks, "Minute Maid," "Snow Crop" and "Hi-C."

being made available to Bottlers in the U.S. The flavors had been successfully marketed in a number of foreign countries for several years, and were test-marketed in a number of other countries for several years since being launched in Italy by the Naples Bottler in 1955. They were test-marketed in the United States during 1958 and 1959. Fred W. Dickson, a veteran of the old Bottle Sales Department, was named president of the new Division.

From then on, additions to the Company's line of soft drinks came with regularity. On February 1, 1961, Sprite, a lemon-lime drink in a green bottle, was made available to Bottlers, though the name had been in use since 1955. It made rapid progress in the market place. By the end of 1965, 797 Bottlers, serving 83 percent of the population of the United States, were handling the new beverage.

In May of 1963 came the Company's first low-calorie beverage, a sugarless soft drink identified by the trademark TAB. In less than two years, it attained virtual national distribution in the U.S. Next in the parade of new candidates for public favor came Fresca, a citrus-flavored, sugar-free soft drink which was made available to Bottlers for general distribution in early 1966. It quickly attained wide popularity.

Meanwhile, on May 7, 1963, Thomas C. Law, Jr., a long-time executive of both the Company and former Parent Bottling companies, was elected president of the Fanta Beverage Company, succeeding Fred W. Dickson, who became vice-president and advertising manager, The Coca-Cola Company. In the latter position he succeeded E. Delony Sledge, Jr., an unusually articulate gentleman, who had headed the Advertising Department in vigorous and knowledgeable fashion since 1950.

The parade of new additions to the Company's beverage line continued. In May, 1968, following extensive field testing, frozen carbonated beverages were introduced and became a marketing responsibility of the Fountain Sales Department. About the same time reformulated products identified by the trademarks TAB and Fresca were introduced following the Food and Drug Administration's removal of cyclamates from its list of approved ingredients for the general distribution of food products.

A new and exciting line under the trademark "Santiba," consisting of ginger ale, quinine water, island mixer, club soda, and sparkling water, moved out of test marketing in 1970. In 1972, Mr. PiBB, a blended beverage, was introduced.

The Company's extensive research and development laboratories are always busy creating other soft drink products.

Even so, Coca-Cola is still the star. It is simply being supported by a distinguished and varied cast.

Broadening the Corporate Base

During the years following World War II numerous large American corporations, many of which had been one-product enterprises for decades, sought to diversify and thus broaden the corporate base. The usual routes have been purchase or take-over and merger.

For 74 years, until 1960, The Coca-Cola Company had restricted itself to soft drinks and for 64 of those years to one brand of soft drink, "Coca-Cola."

The Company took its first step toward diversification, albeit a long one, in 1960, with the purchase of The Minute Maid Corporation, of Orlando, Florida, and its Tenco Division. The merger provided diversification by numerous products having wide, public appeal. The principal products of the corporation comprise lines of frozen citrus juice concentrates and ades sold under the trademark "Minute Maid" and "Snow Crop" and a line of non-frozen fruit drinks sold under the "Hi-C" trademark.

Additional activities include the marketing of fresh fruit and collateral products of the citrus operation. The principal products of Tenco are instant coffee and instant tea manufactured for and sold by chain food stores and other distributors under their own private labels. Tenco is also an important supplier of instant coffee for automatic vending operations under its own trademark, "Tenco."

Following the merger, The Minute Maid Corporation became the Minute Maid Division of The Coca-Cola Company and Tenco became the Tenco Division. The former was headed by Holman R. Cloud, president, and the latter by Edward Aborn, president. In November 1961, Mr. Cloud retired and Benjamin H. Oehlert, Jr., a long-time officer of The Coca-Cola Company, was named president of the Minute Maid Division.

For years on end, studies by the marketing people of The Coca-Cola Company had conclusively shown that, of all beverages, coffee enjoyed far and away the highest per capita consumption. This fact was not lost on Company management

Duncan Coffee Company was the forerunner of Duncan Foods Company which was merged with The Coca-Cola Company in 1964.

Duncan Foods, now part of the Foods Division, produces well-known brands of coffee and tea.

Minute Maid orange juice is available in convenient 6-, 12- and 16-ounce pull-tab cans.

and, after the Minute Maid merger, moved to the front rank of future merger possibilities. The future proved to be short. On May 8, 1964, a merger of The Coca-Cola Company and the Duncan Foods Company became effective. The merger provided a complete line of well-known and widely advertised consumer brands of coffee—Butter-Nut, Maryland Club, Admiration and Fleetwood. Following the merger, Duncan became the Duncan Foods Division of The Coca-Cola Company, with headquarters at Houston, Texas, headed by Charles W. Duncan, Jr., president.

Three years later, on August 7, 1967, the Company simplified its corporate structure somewhat by forming The Coca-Cola Company Foods Division. Headquartered at Houston, Texas; it assumed responsibility for conduct of all Company operations formerly performed by the Minute Maid Corporation and Duncan Foods Divisions. As president and chief executive officer of the new Division, the Company chose J. Lucian Smith, one of its younger senior officers, but with long experience in Bottler relations and sales.

A later acquisition by The Coca-Cola Company lay in the field of that most universal of all liquids, water.

Ecology, or the phase of that much discussed subject having to do with water pollution and the need to do something about it, triggered the acquisition of Aqua-Chem, Inc., of Milwaukee in 1970. Aqua-Chem is a manufacturer of equipment for purification of domestic water and industrial waste water, solid waste incineration, and packaged steam and hot water generators. John C. Cleaver, chairman and chief executive officer of Aqua-Chem, was named a director of The Coca-Cola Company.

More Corporate Milestones

With the retirement of Robert W. Woodruff as an officer of The Coca-Cola Company, effective January 1, 1955, some changes in the corporate high command followed. In early February, H. B. Nicholson succeeded to Mr. Woodruff's dual positions of Board chairman and Executive Committee chairman. Whereupon, the first non-Southerner in Company history moved into the president's office.

William E. Robinson, characterized by *Fortune* as "A Yankee salesman for a Southern institution," was born in 1900 at Providence, Rhode Island. After a long career as a newspaper advertising director and publisher, he succeeded the noted publicist Steve Hannagan, who died suddenly in 1953, as head of the Hannagan firm, which became Robinson-Hannagan Associates and overseer of The Coca-Cola Company's public relations account.

Robinson had a large capacity for friendship and was an excellent bridge player, golfer and speaker. Soon after meeting President-to-be Dwight D. Eisenhower in 1944, the two men became firm friends. Robinson persuaded Eisenhower to write *Crusade in Europe* and later over-saw the publishing details.

At the time he became president of The Coca-Cola Company, Robinson became immersed in package sizes and development of the home and at-work markets.

Little more than a year after William Robinson took office, The Coca-Cola Company severed a relationship which had endured for half-a-century. The long association with the D'Arcy Advertising

Company, which began in 1906, ended. The break may have had its inception with the death of Archie Lee in 1950 and the long era of creative direction by one man of consumer advertising for Coca-Cola. It had been that way for a good many years despite the growing complexities of modern advertising and marketing techniques.

Management decided to explore the whole broad subject of advertising agency service. After due consideration, a committee of five men, charged with finding a solution to the problem, voted unanimously to employ the extensive facilities of McCann-Erickson, Inc. The change became effective April 1, 1956.

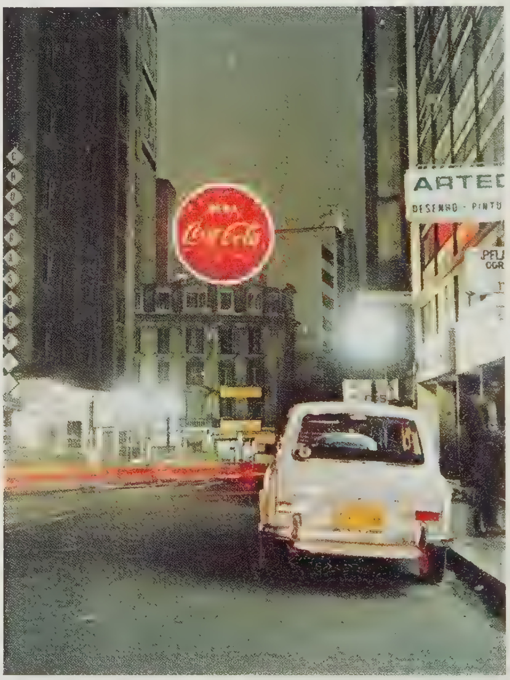
According to Felix W. Coste, then vice-president and director of marketing of The Coca-Cola Company, one of the compelling reasons for the selection of McCann-Erickson was the fact that this agency, world-wide in its operations, had for some time been handling advertising for Coca-Cola abroad; and the integration of all advertising for Coca-Cola seemed to be an essential step in the Company's growth.

The new agency did its job well. Two notable concepts for Coca-Cola, developed since it took over, were the advertising and marketing theme "Things go better with Coke" in 1963, and, in 1970, a totally new marketing program featuring redesigned graphics and the previously, but sparingly, used "It's the real thing."

Nineteen-fifty-eight saw important changes in the Company's top echelon. William E. Robinson was elected chairman of the Board succeeding H. B. Nich-

Aqua-Chem, Inc., was acquired in 1970, the first acquisition outside the refreshment business.

The Hi-C line of fruit drinks is the leader in its field.



By night, a spectacular flashes at a Brazil intersection.

olson, who continued as chairman of the Executive Committee. Lee Talley, a Company career man since 1923, moved into the president's chair.

Talley, the son of a Methodist minister, was born in Monroeville, Alabama, in 1901, and was graduated from Emory University in 1923. He tells the story in a jocular vein, that, upon application to The Coca-Cola Company that year for a job, two were open, the presidency and route salesman, fountain sales, in Wisconsin and Minnesota. A somewhat older man, Robert Woodruff, with previous experience at Emory but not a graduate, secured the presidential office. Talley went North and for some time, through ice and snow, helped to make the advertising slogan "Thirst knows no season," a reality.

It took Lee Talley 35 years to reach the Company presidency, but no man in the history of the business was better prepared to occupy the office. He had firmly grasped many a rung on the corporate ladder—fountain sales, production, Canadian and Export operations.

On March 16, 1959, the third billionth gallon of Coca-Cola syrup was produced. The intervals between billions were growing ever shorter. Only six years had elapsed between the second and the third.

At a birthday party for Mr. Woodruff in 1959, a close friend and retired Company officer, Ralph Hayes, commented on Mr. Woodruff's career. During the course of his remarks, Hayes summed up in one paragraph Company progress during the 36 years since Mr. Woodruff's election to the presidency in 1923:

"He was 33 then and it was 37. But, of all Coke sales, 95 percent have been made in the subsequent 36 years. Under his guidance since 1923, gallon sales have multiplied 12 times, dollar sales 15 times, quick assets 28 times, earned surplus 34 times. For this there is no parallel."

Lee Talley, having demonstrated his managerial capacity, was elected chairman of the Board and re-elected president of The Coca-Cola Company on May 2, 1961. He thus became the first individual in Company history to hold both offices simultaneously. In the Board chairmanship, Mr. Talley succeeded William E. Robinson, who continued as a Board member. At the same time J. Paul Austin, president, The Coca-Cola Export Corporation, was elected also, executive vice-president, The Coca-Cola Company. He was on his way.

A month later, on June 5, 1961, Hammond Burke Nicholson died at his home in Atlanta, aged 66. He had served the Company loyally and ably for 28 years and in its highest offices.

John Paul Austin, who moved up to the presidency of The Coca-Cola Company on May 8, 1962, was, like his predecessor, well-prepared though the apprenticeship was shorter. He was born in LaGrange, Georgia in 1915; attended Harvard and, after being graduated from its law school, began practice in New York City. His career as a lawyer was interrupted by four years of naval service in World War II during which he achieved the rank of lieutenant commander. Following more law practice after the war, Austin joined the legal department of The Coca-Cola Company in 1949. During the 1950's much of his experience in selling Coca-Cola was had managing the Export Corporation's affairs in Johannesburg, Union of South Africa.

Upon succeeding Lee Talley, Paul Austin not only furthered the innovations of his predecessor but has done considerable innovating on his own. It was he who was responsible for the great emphasis on the

"Things go better with Coke" theme. Austin also set up a product and packaging research department, which devised new drinks and new bottle designs.

Fortune described Austin in 1966, as "Tall, muscular and stern looking," which is correct though he is not always stern. He was described as "an artist at delegating authority," which he is.

President Austin began his tenure sharing a belief of his most note-worthy predecessor, Robert Woodruff—that the prospects for Coke were as unlimited in 1962 as they were in 1923. Indeed, what with new packages and products, during the period from 1960 to 1965, under Presidents Talley and Austin, the Company's total sales rose 72 percent, from $502 million to $864 million. Earnings rose 92 percent, from $39 million to $76 million.

In 1963 the Company manufactured its 4,000,000,000th gallon of Coca-Cola syrup—only four years after the third. On January 22, 1965, the Company's common stock was split two-for-one.

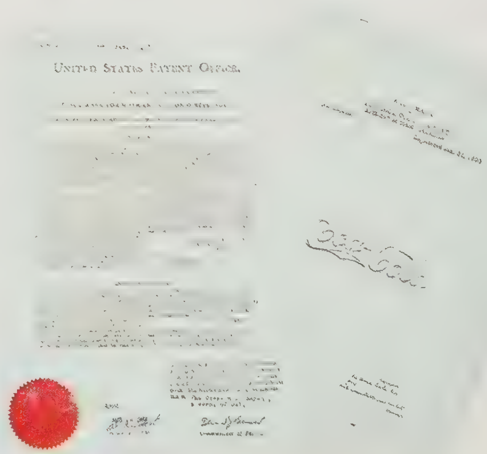
Later that year, all related sales, advertising, promotion, market research, new packages and new products for all carbonated beverages were transferred to a Marketing Division, of which Fred W. Dickson was named director.

On July 1, 1966, Lee Talley, Board chairman, retired as an officer of the Company after 43 years of service. He remained as

By day, Brazilian customers are invited to "Beba Coca-Cola."

T.V. advertising for Coca-Cola began in 1948. Edgar Bergen and Charlie were the first stars.

Trademark "Coca-Cola" first registered in 1893, has been renewed as required since. This document represents the 1963 renewal.


United States Patent Office.

Coke is an essential part of the game for spectator and player.

a member of the Board and continued to act as chairman. During the same month and year, following a three-year interval since the fourth, the Company manufactured the 5,000,000,000th gallon of Coca-Cola syrup. Before the year ended, ground was broken on November 22, for a new 11-story Atlanta office building.

During recent years, significant corporate mileposts have been passed with ever increasing frequency. Nineteen-sixty-seven saw the Company reach a major business milestone. For the first time in its history sales exceeded $1 billion and profits topped $100 million.

On August 8 of that year, Charles W. Duncan, Jr., former president of Duncan Foods Company, was elected executive vice-president of The Coca-Cola Export Corporation and president and chief executive officer of Coca-Cola Europe, a newly established division of Export.

The corporate structure was altered significantly on March 1, 1968, with the creation of Coca-Cola USA, a division of the Company. The Division was organized to assume responsibility for all activities relating to carbonated beverages in the United States. Fred W. Dickson was named its president.

Another split of the common stock of The Coca-Cola Company, 2 for 1, took place on May 13, 1968. The year 1969 began auspiciously with the manufacture of the sixth billion gallon of Coke syrup in January.

In March 1969, the new Atlanta office building was completed and occupied.

The month of May 1970 was marked by important executive changes. On the 5th day of May, J. Paul Austin was elected chairman of the Board and president, following his predecessor, Lee Talley, in the dual office. At the same time, Charles Duncan, now in line for the presidency, became executive vice-president of The Coca-Cola Company.

Early in '71, the 7th billion gallon of Coca-Cola syrup was produced.

Later that year, on November 15, Charles W. Duncan became the eleventh individual to hold the office of president, The Coca-Cola Company. Paul Austin continued as Board chairman and chief executive officer.

Duncan came to The Coca-Cola Company, as previously noted, with the Duncan Foods merger in 1964. He combines fine executive ability with a pleasing personality. He was born in 1926 in Houston, Texas. Like his predecessor, Paul Austin, he saw service in World War II, in the Air Force rather than the Navy. In 1948, he joined Duncan Coffee Company, forerunner of Duncan Foods Company, and was president of this firm at the time of the merger.

The Coca-Cola Company has become a worldwide corporation. In this context, Charles W. Duncan, Jr., described his role as that of a bridge builder. "Not the kind you drive across," he said during an interview with the business editor of *The Atlanta Journal*, "but the kind that relates person to person, nation to nation."

"The international corporation has an opportunity to be a constructive force for peace," said Duncan. "We sell our products in five socialist countries, Yugoslavia, Bulgaria, Hungary, Poland and Czechoslovakia. I've been to two of them and I found it exceedingly interesting. I think it's good when a company such as ours goes into a socialist country. We go in in a commercial way. If we do as we are expected, and they do as they are expected, it can be a good bridge.

"The Company's overseas policy is the same as it is in the United States. Bottlers are franchised, locally owned. The Coca-Cola Company sells syrup and concentrate. The Bottlers mix the syrup with carbonated water to produce the drink that goes to the consumer.

"A reciprocal element of our international operation is the growth in the number of foreign nationals who come to Atlanta either to work or visit. This is making Atlanta more of an international city. Another factor in this connection was the recent move (in 1972) of The Coca-Cola Export Corporation from New York City to Atlanta."

Between the seventh and eighth billion syrup gallons produced, the gap had narrowed to 22 months. The eighth milestone was reached in November 1972.

Late in 1972, Senior Vice-President Charles W. Adams concluded an address to the Atlanta Rotary Club with a significant statement:

A metal sign shows the newer arciform and trademark panel.

Refreshment is the message of this 1968 Spanish advertisement for Coca-Cola.

"Refreshing New Feeling" was the lively slogan treatment in 1962.

Three revisions of the can came out in 1961, 1967 and 1970.

The at-work market continued to be an important segment.

"Even though Coca-Cola is available in 135 countries, there are more people in the world who do not yet have access to Coca-Cola than who do."

A challenge, indeed, to those who follow Robert W. Woodruff.

The Partnership

The Coca-Cola Company and the Bottlers of Coca-Cola, from their inception, have not only stimulated other business enterprises, but have created entirely new ones. The process has been called, with justification, "Partnership in Industry."

Indeed, living and doing business in today's industrial civilization involves a greater degree of interdependence than in any other period in history. Yet it is one of the glories of the times. Interdependence has made the miracles of mass production possible.

The soft drink industry, for example, evolved from the old hand-and-foot bottling operations because of developments in other industries. Invention of the disposable bottle cap made possible today's high speed bottling lines. Developments in the glass industry were necessary before manufacturers could undertake so special a design as the bottle for Coca-Cola, now a registered trademark.

And so it goes. The take-home beverage carton, first used by Coca-Cola Bottlers, is now standard throughout the industry. That merchandising landmark, the cooler for Coke, has created outlets unheard of 50 years ago—small stores with no refrigeration, filling stations, factories, offices, hospitals, schools.

Free enterprise, by modern definition, is this working democracy of business creating business. It is "playing the world long, not selling it short," as R. W. Woodruff puts it.

Neither The Coca-Cola Company nor the Bottlers of Coca-Cola manufacture or make a profit on coolers, cartons, cases, bottles and bottle caps. The machinery to bottle the product and pack it, the trucks to deliver it, the signs to sell it, the ice to cool it—all come from sources outside the Coca-Cola business and with the profit for the suppliers.

The Coca-Cola Company is the world's largest industrial user of refined sugar, yet it neither grows nor refines a single pound. The grower and the refiner have enjoyed a profit before the sugar is delivered to the Company.

The modern bottle and its closure extended the availability of Coke enormously; but Coke served in the fountain glass has more than maintained its position in the marketplace. These familiar glasses have been produced by the millions, but all by outside suppliers.

The Coca-Cola business leaves the production of sugar and bottles and glasses to others. Neither does The Coca-Cola Company manufacture fountain dispensers, uniforms or steel drums for syrup shipments—even though it uses all of the products in enormous quantities and could, no doubt, earn profit for itself by entering such fields. It prefers not to do so under the business philosophy that the business can best profit when it best serves; and that it best serves in stimulating and supporting allied industries, all of which share in the overall profitability of the joint enterprise.

Thus the business of Coca-Cola becomes an integral part of the prosperity of any community or country. In certain developing areas of the world, it is considered a private economic program because of its purchases from local suppliers. Often these suppliers start from scratch, encouraged by the local Bottler of Coca-Cola to create goods and services that never before existed in the area.

Creating jobs where others can create livelihoods for other lives—surely, there is no greater contribution to world prosperity.

A Good Name and Good Works

The truism that a good name is above price is epitomized by all of the trademarks owned by The Coca-Cola Company, but particularly by those which

A Peru sports stadium displays the new logomark for Coca-Cola.

Cans for Coca-Cola appeared more and more as customers demanded convenience.

Beginning in 1963, "Things Go Better With Coke" became one of the most successful campaigns.

Frozen concentrated orange juice is the best-known product of the Minute Maid brand.

Ethnic advertising has long been a major part of the merchandising mix.

identify its oldest and most widely known product: "Coca-Cola," and "Coke," and the shape, contour and design of the bottle.

Writing some years ago upon this subject, Hunter Bell, former newspaper editor and retired Company official, said:

"It has been said, and deservedly so, that it (Coca-Cola) symbolizes an empire, the extensions of which touch more individuals than any article of merchandise manufactured by one company in all the annals of commerce."

The consolidated balance sheet of The Coca-Cola Company and its subsidiaries carries an item entitled "Formulae, Trademarks and Good Will — at cost." The sum total of this entry approaches an amount equal to one-tenth of the assets of the Company.

The "Formulae" and "Trademarks" are, of course, the backbone of the long successful history of the business. Without them, the Company could never have attained its present growth.

Just as significant and important is the item of "Good Will" represented in that same entry. It speaks for the support and, indeed, affection which millions of consumers have given to Coca-Cola.

The late William Allen White, famous editor of the Emporia, Kansas *Gazette*, once epitomized this priceless asset of good will and of the Company being a timeless part of the American scene. The beloved journalist had a realistic understanding of his position in American life, representing as he did, the plain people. When a photographer for *Life Magazine* asked him to pose on his 70th birthday, Mr. White insisted that he have a compatible background, something as typically American as himself. And so he chose to stand beside the Coca-Cola dispenser at the local soda fountain in Emporia.

Later, Mr. White explained: "Coca-Cola is such a sublimated essence of all that America stands for, a decent thing, honestly made, that I thought it would be fitting and typical to have the word 'Coca-Cola' in a picture that portrayed the average American town." "And, of course, in more than 130 countries around the world Coca-Cola has become very much a part of their way of life, too."

A good name, once earned, is to be prized above diamonds and rubies. And, should the name identify a product in commerce, it requires extra protection. Indeed, constant vigilance is the price, for the hair in the gravy of conspicuous success is the inevitable appearance of hosts of piratical competitors who seek to reap where they have not sown.

Through the years many able men have served the campaign being constantly waged by The Coca-Cola Company to protect the good name of its principal product and, in later years, its other trademarked products.

It has been previously noted that, as long ago as 1896, the problem presented itself, and how, beginning a decade later, Harold Hirsch, the first individual general counsel for The Coca-Cola Company, brought his remarkable talent to bear upon the matter. In the effort, he associated himself with distinguished outside counsel, notably Edward Sidney Rogers. Indeed, it is not too much to say that Hirsch and Rogers together built the trademark "Coca-Cola" into one of the world's most celebrated commercial symbols.

Edward S. Rogers (1875-1949) maintained offices in both Chicago and New York. He was born in Maine and graduated in law from the University of Michigan in 1895. With him words became a consuming interest and he was an authority on their history and evolution. Throughout his practice he had no peer in the law of trademarks.

Rogers encouraged jurists to *make* precedent rather than to *rely* upon it in order to protect symbols of good will and to enjoin unfair trade practice in the marketplace. When he died, a Federal judge in Chicago was heard to say: "The Chicago bar has lost its most distinguished member."

Following Hirsch and Rogers and partly concurrent with their efforts, came John Adams Sibley, general counsel of the Company from 1935 to 1942. This noted barrister, banker and civic leader, now a Nestor of the Georgia bar, performed yeoman service in the protection of the Company's trademarks. Other dedicated counselors-at-law have contributed their skills in the same cause. Frank Troutman, Robert B. Troutman, Pope F. Brock, John D. Goodloe, George M. Lawson and Julius R. Lunsford, as previously noted, to name a few.

A good name, of course, has elements other than legal. Since its beginning, The Coca-Cola Company has tried to exercise a conscience—to operate with fairness and honesty. This attitude is reflected in its employment policies, for, after all, a corporation's first social responsibility

1968 magazine continued the "Things Go Better" idea.

"It's the Real Thing," introduced in 1969, ushered in whole new ad stance for Coke.

A new logo introduced in 1969 changed everything associated with the product.

In any language, "It's The Real Thing" is readily understood.

The familiar yellow case gave way to red ones with new logo.

is to its own human resources. Equal opportunity for all is an operating reality, not a promise. In its overseas operations, for instance, practically all of the Company's employees are nationals of the countries in which its products are sold.

While a corporation's first consideration is to the human element, a close second is to its physical environment—ecology in the modern idiom. Several years ago, The Coca-Cola Company undertook a comprehensive study of all its operations to determine where and how it might be contributing to environmental pollution of any kind. As a result the Company developed a program and publicly committed itself to aggressive and honest efforts aimed at protecting the environment.

Through the years of its existence Coca-Cola has brought refreshment to its consumers, profits to the merchants who have sold it and prosperity to its owners. Indeed, good will stemming from the good name of the Company, its Bottlers and its products, finds a counterpart in the good works which have come about because Coca-Cola has produced profits that have been reinvested in many areas and in growing measure for the benefit of mankind.

It has been pointed out that The Coca-Cola Company has paid an annual dividend on its stock since 1893. Family-owned, principally by the Candlers, until the 1919 sale, the stock was then offered to the public at $40 per share. An investment then of that amount would be worth as of December 1972, $16,837, including accumulated dividends. For that one 1919 share would presently be 96 shares as a result of five stock splits. The Company today has about 66,000 stockholders.

The business of Coca-Cola has indeed created wealth. Much of this wealth, largely channeled through individuals whose means have derived from the business, has been used for the common good. The causes of medicine, education, religion, charity and our general cultural heritage have been beneficiaries.

As a matter of fact, these beneficiaries have been almost as widespread geographically as Coca-Cola itself. Many Bottlers of Coke, both domestic and foreign, have been generous to the communities in which they do business. Numerous foundations of varying size have been established through which good works have been accomplished. But beyond question the State of Georgia, birthplace of Coke, has benefited most. Indeed, the most generous giver of all is a citizen of Atlanta who has become known as "An Anonymous Donor." The full extent of his benefactions will never be known.

During the life-span of Coca-Cola thus far, kings have fallen, wars have raged, dynasties have disappeared, booms and panics have alternated, and man has walked on the moon. Through it all Coca-Cola, the inexpensiveness and uniformity of which makes it the property of everybody, has pursued its modest role. Mankind would not perish or be notably inconvenienced if Coke were not around. But mankind is better off with it. For a universal common denominator of all humans is alternate rest and activity. The role of Coca-Cola has always been to make the rest periods more pleasant—to insure that any pause can be the pause that refreshes.

During his 50-year association with The Coca-Cola Company, Robert Winship Woodruff, together with other stalwart men, has made sure that Coke is conveniently around. His place as a business statesman and in the annals of refreshment and good works is secure.

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The Coca-Cola Company has never published its own Corporate history. Many books, articles, monographs and even novels have been written by others revolving around Coca-Cola and the organization which has grown up to guide its destiny. While this book is, technically, the *first* "official" history ever published in narrative and pictorial form by the Company, it is by no means a final or complete account. In fact, it might be most accurately described as "an illustrated *profile* of The Coca-Cola Company." The complete history has, of course, not yet been written. Perhaps it never will be. That is just as well since who among us can be objective about ourselves? In this respect, at least, companies are no different from individuals, since they are made up of people who have many of the contradictions and uncertainties that are characteristic of individuals.

This then is an "interim history". . . a brief and, we hope, entertaining account of an interesting company and its even more interesting product. It tells the story of where it came from, some of the people who contributed to its success, the dramatic story of its acceptance and popularity throughout the world and where it is today. There are sins of omission and commission. To those who would have done it another way, we can only say, "So may we, the next time around."

J. Paul Austin
Chairman of the Board
The Coca-Cola Company

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